

PZ CUSSONS NIGERIA PLC
ANNUAL REPORT, CONSOLIDATED AND
SEPARATE FINANCIAL STATEMENTS
31 MAY 2026

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Corporate information

Board of Directors

Mrs. Ifueko M.Omoigui Okauru, MFR	- Chairman, Independent Non-Executive Director
Mr. Dimitris Kostianis	- Chief Executive Officer (Resigned w.e.f 31 May 2026)
Mr. Oghale Elueni	- Chief Executive Officer (Appointed w.e.f 1 June 2026)
Mr. Oludare Ebenezer Elusakin	- Chief Financial Officer (Appointed w.e.f 1 June 2026)
Ms. Joyce F. Coker	- Executive Director (Resigned w.e.f 17 April 2026)
Mr. Kareem Moustafa	- Non-Executive Director
Mallam Ballama Manu	- Independent Non-Executive Director
Mrs. Oluwatoyin Odutayo	- Independent Non-Executive Director
Dr Suleyman Abdu Ndanusa	- Independent Non-Executive Director
Mr. Richard Walker	- Non-Executive Director
Dr Anthony Ikemefuna Idigbe, SAN	- Independent Non-Executive Director

Company Secretary

Ms. Oghenekevwe Ogefere

Registered Office

45/47 Town Planning Way
Ilupeju Industrial Estate
P.M.B. 21132
Ikeja

Registration Number

RC 693

Registrars

First Registrars and Investors Service Limited
Plot 2, Abebe Village Road
Iganmu Complex
P.M.B. 12692
Lagos

Independent Auditors

PricewaterhouseCoopers
Chartered Accountants
FF Millennium Towers
13/14 Ligali Ayorinde Street
Victoria Island
Lagos

Financial highlights

<i>In thousands of Naira</i>	The Group		%
	2026	2025	Change
Revenue	260,456,428	212,634,336	22
Operating profit	77,059,303	18,922,533	307
Profit before taxation	77,318,311	16,660,555	364
Income tax expense	(32,148,167)	(6,593,836)	388
Profit for the year	45,170,144	10,066,719	349
Non-controlling interest	2,005,936	859,089	133
Profit attributable to equity holders of the parent company	43,164,208	9,207,630	369
At year end:			
Share capital	1,985,238	1,985,238	-
Total equity	66,642,175	(17,341,157)	484
Data per 50k share			
Based on 3,970,477,045 ordinary shares of 50k each:			
Basic and diluted earnings per share (Naira)	10.87	2.32	369
Number of employees	845	867	(3)
Stock exchange quotations in Naira (Company):	98.0	29.5	232

Directors' report

Accounts and results

The Board of Directors of PZ Cussons Nigeria Plc is pleased to present to members the consolidated and separate statements of financial position as at 31 May 2026 together with the consolidated and separate statements of profit or loss and other comprehensive income, consolidated and separate statements of changes in equity, consolidated and separate statements of cashflows for the year ended on that date and notes to the financial statements including a summary of material accounting policies.

Operating results

The following is the summary of the Group's operating result as at 31 May 2026

	2026 N'000	2025 N'000	Change
Revenue	260,456,428	212,634,336	22%
Operating profit	77,059,303	18,922,533	307%
Profit before taxation	77,318,311	16,660,555	364%
Taxation	(32,148,167)	(6,593,836)	388%
Profit after tax	45,170,144	10,066,719	349%
Non-controlling interest	2,005,936	859,089	133%
Profit attributable to equity holders of parent company	43,164,208	9,207,630	369%

Principal activities

The principal activities of the Group are the manufacture, distribution and sale of a wide range of consumer products and home appliances through owned depots. These products are leading brand names throughout the country in detergent, soap, cosmetics, refrigerators, freezers and air-conditioners. The Group also facilitates the distribution of products of a related entity - Harefield Industrial Nigeria Limited.

Directors and their interest

The Directors who served during the year ended 31 May 2026 and their interest in the shares of the company as recorded in the register of members for the purpose of Section 301 of the Companies and Allied Matters Act 2020 ("CAMA"), and in compliance with the Listing Requirements of the Nigerian Stock Exchange (The Exchange) are as follows:

Directors

	2026		2025	
	Direct	Indirect	Direct	Indirect
Chief Anthony Idigbe, SAN, PhD	Nil	208,940	Nil	Nil
Mrs. Ifueko Marina Omoigui Okauru, MFR	59,713	Nil	59,713	Nil
Ms. Joyce F Coker	3,889	Nil	3,889	Nil
Mr. Dimitris Kostianis	Nil	Nil	Nil	Nil
Mr. Kareem Moustafa	Nil	Nil	Nil	Nil
Mr. Richard Walker	Nil	Nil	Nil	Nil
Mallam Ballama Manu	Nil	Nil	Nil	Nil
Mrs. Oluwatoyin Odutayo	Nil	Nil	Nil	Nil
Dr. Suleyman Abdu Ndanusa, OON	Nil	Nil	Nil	Nil

The above are the directors holdings as at 31 May 2026

*Mr. Moustafa and Mr. Walker represent the interest of the majority shareholder PZ Cussons (Holdings) Limited UK with 2,909,349,788 shares

Interest in contracts

In accordance with Section 303 of the CAMA, Mallam Manu has notified the Company that he is an Independent Director on the Board of Stanbic IBTC Holding PLC, the holding company of one of our bankers and advisers. No other Director has notified the Group of any declarable interest in any contract in which he/she was involved with the Group during the year.

Directors Retiring by Rotation and Re-election

In accordance with Article 90 of the Company's Articles of Association and Section 285 of the Companies and Allied Matters Act 2020, one-third of the number of Directors, based on length of service since their last election, are required to retire at the Annual General Meeting and, being eligible, may offer themselves for re-election.

Accordingly, Mr. Kareem Moustafa, Mrs. Oluwatoyin Odutayo and Mallam Ballama Manu will retire by rotation at the forthcoming Annual General Meeting.

Mr. Kareem Moustafa will not be offering himself for re-election and will accordingly cease to be a Director of the Company at the conclusion of the Annual General Meeting. Mrs. Odutayo and Mallam Manu, being eligible, have offered themselves for re-election. Mallam Manu has given the Company notice that he is above the age of 70 years.

Mr. Oghale Elueni and Mr. Oludare Ebenezer Elusakin were appointed to the Board after the last Annual General Meeting, and their appointments are being presented to shareholders for approval.

Directors' report (Continued)

Records of Directors attendance

In compliance with Section 284 (2) of the CAMA, the Record of Directors' Attendance at Board Meetings in the 2025/2026 financial year will be made available at the Annual General Meeting for inspection by members.

Meetings of the Board of Directors

As a rule, the Board of Directors meets at least quarterly, and additional meetings are convened as required. Also, as allowed by the Company's Articles of Association, material decisions are sometimes taken between meetings by way of written resolutions.

At every quarterly meeting, the Directors are provided with comprehensive reports of the activities of the various business units as well as important corporate events. They are also briefed on all business developments between meetings. The Board met ten times during the 2026 financial year.

The meetings were presided over by the Chairman. In all cases, written notices of meetings, the meeting agenda as well as the reports for consideration were circulated well ahead of the meetings. The minutes of the meetings were appropriately recorded and circulated.

Attendance at meetings

The Board has a formal schedule of meetings each year and met ten times in the course of the year under review. The record of attendance of the Directors at the meetings is set below:

Directors	6/3/2025	6/27/2025	8/6/2025	9/2/2025	9/29/2025	12/3/2025	12/22/2025	3/27/2026	4/9/2026	5/29/2026
Mrs. I.M.O Okauru	√	√	√	√	√	√	√	√	√	√
Mr. D. Kostianis ***	√	AB	√	√	√	√	√	√	√	√
Ms. J.F. Coker ***	√	√	√	√	√	√	√	√	√	NA
Mr. O. Elueni**	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
Mr. E. Elusakin**	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
Mr. K. Moustafa	√	√	√	√	√	√	√	√	√	√
Mr. R. Walker	√	√	√	√	√	√	√	√	√	√
Mallam B. Manu	√	√	√	√	√	√	√	√	√	√
Mrs. O. Odutayo	√	√	√	√	√	√	√	√	√	√
Dr Suleyman Abdu Ndanusa	√	√	√	√	√	√	√	√	√	AB
Chief A. Idigbe, SAN, PhD	√	√	√	√	√	√	√	AB	AB	√

√ Present
AB Absent
R Resigned
NA Not Appointed

***Ms. Coker resigned with effect from 17 April 2026

***Mr. Kostianis resigned with effect from 31 May 2026

**Mr. Elueni was appointed with effect from 1 June 2026

**Mr. Elusakin was appointed with effect from 1 June 2026

Directors' report (Continued)

Major Shareholdings

According to the Register of Members as at 31 May 2026, PZ Cussons (Holdings) Limited held 2,909,349,788 shares. This represents 73.27% of the paid-up capital of the Company.

Analysis of Shareholdings

Range	No. of Shareholders	Holders %	Units	% Units
1 - 1000	35,869	40.31%	13,074,833	0.33%
1001 - 5000	24,993	28.08%	61,554,289	1.55%
5001 - 10000	11,832	13.30%	90,847,841	2.29%
10001 - 50000	14,044	15.78%	287,277,270	7.24%
50001 - 100000	1,252	1.41%	89,132,121	2.24%
100001 - 500000	831	0.93%	160,043,876	4.03%
500001 - 1000000	94	0.11%	68,922,137	1.74%
1000001 - 5000000	63	0.07%	126,024,139	3.17%
5000001 - 10000000	5	0.01%	31,831,244	0.80%
10000001 - 500000000	7	0.01%	132,419,507	3.34%
500000001 - 1000000000	1	0.00%	82,442,840	2.08%
100000001 - 3970477045	1	0.00%	2,826,906,948	71.20%
	88,992	100%	3,970,477,045	100.00%

List of 5% and Above shareholdings:

PZ Cussons (Holding) Limited	1	0.00%	2,909,349,788	73.27%
			2,909,349,788	73.27%

Apart from PZ Cussons (Holdings) Limited, UK, no other shareholder held more than 5% of the paid-up capital of the Company as at 31 May 2026.

Shareholding Structure/Free float Status

Description	31 May 2026		31 May 2025	
	Unit	Percentage	Unit	Percentage
Issued Share Capital	3,970,477,045	100%	3,970,477,045	100%
Substantial Shareholdings (5% and above)				
PZ Cussons(Holdings) Limited, UK	2,909,349,788	73.27%	2,909,349,788	73.27%
Cardinal Stone	-	-	214,389,510	5.40%
Total Substantial Shareholdings	2,909,349,788	73.27%	3,123,739,298	78.67%
Directors' Shareholdings (direct and indirect), excluding Directors with substantial interests				
Ms. Joyce Coker	3,889	0.00%	3,889	0.00%
Mrs. I.M.O Okauru, MFR	59,713	0.00%	59,713	0.00%
Chief A. Idigbe, SAN, PhD	208,940	0.01%	-	0.00%
Total Directors' Shareholdings	272,542	0.01%	63,602	0.00%
Other Influential Shareholdings				
PFA's	-	-	69,085,514	1.74%
Cardinal Stone	96,335,913	2.43%	-	-
Total Other Influential Shareholdings	96,335,913	2.43%	69,085,514	1.74%
Free Float in Units and Percentage	964,518,802	24.29%	777,588,631	19.58%
Free Float in Value	₦ 94,522,842,596		₦ 22,938,864,615	

Directors' report (Continued)

Declaration:

(A) PZ Cussons Nigeria Plc with a free float percentage of 24.29% as at 31 May 2026, is compliant with The Exchange's free float requirements for companies listed on the Main Board.

(B) PZ Cussons Nigeria Plc with a free float percentage of 19.58% as at 31 May 2025, is compliant with The Exchange's free float requirements for companies listed on the Main Board.

Board Committees

The Board has established Standing Committees whose terms of reference clearly spelt out roles, responsibilities and scope of authorities. To ensure compliance with the best practices in Corporate Governance each Committee is chaired by a Non- Executive Director.

Board Audit and Risk Management Committee

The Committee is to assist the Board in its oversight of the risk profile, risk management framework and risk review strategy. The Committee is to carry out periodic review of changes in the economic and business environment, including emerging trends and other factors relevant to the Group's risk profile.

The Committee is made up of three (3) members namely

Mallam Ballama Manu	Chairman
Dr Suleyman Abdu Ndanusa	Member
Mr. R. Walker	Member

The Committee met six times during the financial year. The table below summarises members' attendance at the meetings:

Name	No. of meetings held	No. of meetings attended
Mallam Ballama Manu	6	6
Dr Suleyman Abdu Ndanusa	6	6
Mr. R. Walker	6	6

The meetings were held on 25 June 2025, 26 August 2025, 1 September 2025, 26 September 2025, 18 March 2026, 7 April 2026

Governance and People Committee

The Committee advises the Board on the appointment of directors, corporate governance matters, staff welfare and remuneration, talent management and other strategic employees' relations matters.

The Committee members are:

Mrs. Oluwatoyin Odutayo	Chairman
Mr . K. Moustafa	Member
Chief A. Idigbe, SAN, PhD	Member

The Committee met four times during the financial year and the table below shows the attendance at the meetings:

Name	No. of meetings held	No. of meetings attended
Mrs. Oluwatoyin Odutayo	4	4
Mr . K. Moustafa	4	2
Chief A. Idigbe, SAN, PhD	4	3

The meetings were held on 18 June 2025, 17 September 2025, 4 March 2026 and 22 May 2026.

Directors' report (Continued)

Statutory Audit Committee

The Committee is established to perform the functions listed in Section 404 (7) of the Companies and Allied Matters Act 2020. The Committee consists of five (5) members made of three representatives of the shareholders elected at the previous Annual General Meeting for the tenure of one year and two Non-Executive Directors. The meetings of the Committee were attended by the Chief Finance Officer, the Acting Head of Internal Audit and representatives of PricewaterhouseCoopers, the Group's external auditors.

The following Directors served on the Committee during the year:

Mallam Ballama Manu
Dr. Suleyman A. Ndanusa OON

The table below summarises the attendance at the Committee meetings during the year:

Name	No. of meetings held	No. of meetings attended
Mallam Ballama Manu	6	6
Dr. Suleyman Abdu Ndanusa OON	6	6
Hon. B. Nwabughogu	6	6
Mr. Oluwasegun Owwoeye	6	6
Mr. R. Ibekwe	6	6

The meetings were held on 26 June 2025, 26 August 2025, 1 September 2025, 26 September 2025 and 18 March 2026 and 7 April 2026.

Adhoc Committee

The Board constituted an Adhoc Committee to consider various issues during the period under review.

The following directors served on the Committee:

Mallam B. Manu
Dr Suleyman Abdu Ndanusa
Chief A. Idigbe, SAN, PhD
Mrs. Odutayo

The AdHoc Committee meetings were held on 5 June 2025, 11 June 2025, 12 June 2025, 15 August 2025, and 2 September 2025.

Board composition

The Company's Articles of Association provide for a maximum of fifteen directors. At the date of this report, the Board consists of nine directors: Five Independent Non-Executive Directors, two Non-Executive Directors and two Executive Directors.

The profile of the Board comprises distinguished individuals with diverse skills and competencies in different areas of the Group's business. This continually ensures the realisation of the set corporate objectives.

In line with best practices, the position of the Chairman is distinct from that of the Group Chief Executive Officer.

The Board Chair is Mrs. Ifueko Omoigui Okauru, an Independent Non-Executive Director while the Chief Executive Officer is Mr. Oghale Elueni. Furthermore, while the Chairman is responsible for providing overall leadership for the Company and ensuring the effective operation of the Board to achieve the Company's strategic goals, the Chief Executive Officer is responsible for coordinating the running of the business and implementing strategies.

Independent Directors

In compliance with Section 275(1) of the CAMA and the Nigerian Code of Corporate Governance, more than a third, five (5) of the nine (9) Directors, are independent directors having no significant shareholding interest or any special business relationship with the Group.

Board operations

The Board is the ultimate governing body of the Group and it is responsible for its overall supervision and the protection of the interest of shareholders and other stakeholders. It ensures that the Group is appropriately managed to achieve strategic objectives.

The specific issues reserved for the Board include:

- The ultimate direction of the Group particularly the conduct and supervision of the business.
- Leadership, Strategy, Budgets, and Management
- Structure and Capital
- Financial Reporting and Controls
- Risk Management and Internal Controls
- Contracts and Expenditure
- Communications
- Board Membership and Other Appointments
- Corporate Governance Matters
- Remuneration
- Delegated Authority
- Approving and Monitoring of all significant Company policies
- Appointment of Principal Financial and Professional Advisers

The Board has delegated to Management the day-to-day running of the business and the Chief Executive Officer, who is the head of the Management Team, is answerable to the Board.

Board appointment and induction

Directors are appointed to the Board following a declaration of vacancy at a Board meeting. New Directors are selected through carefully articulated selection guidelines that place emphasis on integrity, skills and competences relevant to the Group's goals and aspirations. The Directors' Appointment Policy confers on the Governance and People Committee the responsibility of identifying individuals with a track record of outstanding achievements and potential for value enhancement. The Committee's recommendation is subjected to further scrutiny by the Board before a decision is taken. The appointed director is made to undergo an induction programme to equip and familiarise him/her with the requisite knowledge and information about the Group and its business.

Furthermore, a newly appointed director receives a letter of appointment spelling out in detail the entitlements, terms of reference of the Board and its Committees and the Key Performance Indicators.

The appointment of the director is presented to the subsequent Annual General Meeting for ratification.

Directors' report (Continued)

Internal control

The Board maintained a sound system of internal control to safeguard shareholders investments and the Group's assets. The system of internal control provides reasonable assurance against material loss. The responsibilities include oversight functions of internal audit and control, risk assessment and compliance, conformity and contingency planning, and formalisation and improvement of business process.

Communication with shareholders

The Board is committed to an open and consistent communication policy with shareholders and other stakeholders. The guiding principle is that all shareholders should be given equal treatment in equal situations. Thus price sensitive information is published timely in full, simple and transparent format to all shareholders at the same time.

Furthermore, all shareholders have equal opportunity at the Annual General Meeting to present questions to the Board and make comments on any aspect of the financial statements.

Insider dealings

The Company has regulations guiding directors, members of the Audit Committee and other officers of the Company on periods when they, or persons connected to them cannot lawfully effect transactions on the shares of the Company as well as the disclosure requirements when effecting any transaction on the Company's shares.

Dividend

The Board has recommended a final dividend of ₦9,926,192,612.50 (Nine billion, nine hundred and twenty-six million, one hundred and ninety-two thousand, six hundred and twelve Naira, fifty Kobo) that is ₦2.50 per share in respect of the year ended 31 May 2026, which is payable on Friday 30 October 2026 subject to the deduction of appropriate withholding tax, bringing the total dividend for the 2026 financial year to ₦2.50 per share.

E- Dividend

The Company consistently encourages its shareholders to embrace the e-dividend and e-bonus introduced in the capital market. This is to enable prompt crediting of shareholders account with dividend and their CSCS account with bonus shares. This will also eliminate the cost of posting dividend warrants and share certificate as well as the risk of being lost in the post.

Property, plant and equipment

Movement in property, plant and equipment during the year are shown in Note 4 of the financial statements. In the opinion of the Directors, the market value of the Group's property, plant and equipment is not lower than the value shown in the financial statements.

Distributors and suppliers

The Group has 4 distribution centres across the country with over 1000 distributors.

The Group also obtains its requirements from both local and overseas suppliers. The principal overseas suppliers are associated companies within the PZ Cussons Group. The transactions are carried out at arm's length.

Research and development

The Group's Research and Development efforts, supported through licensing and technical services agreements with overseas associated companies in the PZ Cussons Group, are designed to ensure a constant programme of product improvement and new product introduction.

Employment of disabled persons

The Group's policy provides for due priority to be accorded to persons with disabilities in recruitment for any available position where their incapacity will not expose them to danger or serious disadvantage. Employees who become incapacitated in the course of their employment are retained and redeployed wherever possible within the context of the above policy.

Health safety and welfare

The Group recognises the health and safety of its employees, customers, contractors, and other stakeholders as a top priority, and this forms an integral part of its business activities. The Group is committed to maintaining a safe workplace at all times across all sites, depots, and business units in the country to prevent accidents and ill health arising from work-related activities. The Group recognises that health and safety are fundamental to good manufacturing practices. The rollout of its world-class manufacturing programme has ensured that its factories provide safe and pleasant working environments.

Employee involvement and training

The Group is committed to keeping employees informed regarding its performance and progress through regular briefings and meetings. Their views are sought wherever practicable on matters which affect them as employees. The Group believes that the professional and technical expertise of its managers constitutes a major asset, and investment in developing such skills continues to receive attention.

The Group's skill base has been steadily expanding with the range of training provided for career development within the Group.

Acquisition of own shares

The Company did not purchase any of its own shares during the year.

Gifts and donations

The Group did not contribute any gifts or donation during the period ended 31 May 2026 (2025: Nil).

Directors' report (Continued)

Statement of compliance

The Group hereby affirms that the Nigerian Code of Corporate Governance ("the Code") and the SEC Corporate Governance Guidelines ("the Guidelines") govern its operations and confirms that, to the best of its knowledge, it is in compliance with both the Code and the Guidelines.

Complaint management policy

The Complaint Management Policy sets out the broad framework for the Company and its Registrars to attend to issues and concerns raised by shareholders and provide the opportunity for shareholders to give feedback to the Company.

The Company is dedicated to ensuring great standard of services to its shareholders by:

- Creating an efficient process for the management of shareholders' complaints and enquiries
- Ensuring that all matters relating to shareholders are adequately addressed; and
- Making information readily available to shareholders.

Communication policy

The Group has in place a communication policy in accordance with the requirements of the Securities & Exchange Commission.

The Board recognises the need to communicate and disseminate information regarding the operations and management of the Group to all relevant stakeholders (including Shareholders, regulatory authorities, media, analysts and the general public).

Independent Auditors

The firm of PricewaterhouseCoopers served as the Independent Auditor during the year under review. Having indicated their willingness to continue in office as Independent Auditors in accordance with section 401 of the Companies and Allied Matters Act, a resolution will be proposed at the Annual General Meeting to authorise the Directors to fix the remuneration of the Auditors.

Dated 27 August 2026

By order of the Board

Signed by:

OZAGBCTCTSEACA

Ms. Oghenekevwe Ogefere
Company Secretary
FRC/2026/PRO/ICSAN/002/104338
Lagos, Nigeria

Statement of Directors responsibilities

The Directors of PZ Cussons Nigeria PLC are responsible for the preparation of the consolidated and separate financial statements that gives a true and fair view of the financial position of the Group and Company as at 31 May 2026, and the results of its operations, cash flows and changes in equity for the year ended, in accordance with international financial reporting standards as issued by the International Accounting Standards Board ("IFRS Accounting Standards") and the requirements of the Companies and Allied Matters Act of Nigeria, 2020 and the Financial Reporting Council of Nigeria (Amendment) Act, 2023.

In preparing these consolidated and separate financial statements, the Directors' are responsible for:

- properly selecting and applying accounting policies;
- presenting information, including accounting policies, in a manner that provides relevant, reliable, comparable and understandable information;
- providing additional disclosures when compliance with the specific requirements in IFRSs are insufficient to enable users to understand the impact of particular transactions, other events and conditions on the Group's financial position and financial performance;
- making an assessment of the Group's ability to continue as a going concern;
- designing, implementing and maintaining an effective and sound system of internal controls throughout the Group and Company;
- maintaining adequate accounting records that are sufficient to show and explain the Group and Company's transactions and disclose with reasonable accuracy at any time the financial position of the Group and Company, and which enable them to ensure that the financial statements of the Group and Company comply with IFRS;
- maintaining statutory accounting records as required with the Companies and Matters Act of Nigeria and IFRS Accounting Standards;
- taking such steps as are reasonably available to them to safeguard the assets of the Group and Company; and
- preventing and detecting fraud and other irregularities.

The Directors have made an assessment of the Group and Company's ability to continue as a going concern and have no reason to believe the Group and Company will not remain a going concern for at least twelve months from the date of approval of these financial statements.

The consolidated and separate financial statements of the Group and Company for the year ended 31 May 2026 were approved by the Directors on 27 August 2026.

Signed on behalf of the Board of Directors by:

DocuSigned by:
Ifeoluwa M. Omoigui Okunure

Mrs. I.M.O Okauru, MFR
Chairman
ERC/2016/ICAN/00000014169

Signed by:
Oghale Eluani

Mr. Oghale Elueni
Chief Executive Officer
FRC/2026/PRO/DIR/003/287223

Signed by:

Mr. Oludare Ebenezer Elusakin
Chief Financial Officer
FRC/2024/PRO/ICAN/001/236689

Certification of financial statements

In accordance with section 405 of the Companies and Allied Matters Act, 2020 the Chief Executive Officer and the Chief Financial Officer certify that the consolidated and separate financial statements have been reviewed and based on our knowledge, the

- audited financial statements do not contain any untrue statement of material fact or omit to state a material fact, which would make the statements misleading, in the light of the circumstances under which such statement was made, and
- audited financial statements and all other financial information included in the statements fairly present, in all material respects, the financial condition and results of operation of the Company and the Group as of and for, the periods covered by the audited financial statements

We state that management and directors:

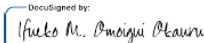
- are responsible for establishing and maintaining internal controls and has designed such internal controls to ensure that material information relating to the Company and the Group is made known to the officer by other officers of the Company, particularly during the period in which the audited financial statements report are being prepared,
- has evaluated the effectiveness of the Company and Group's internal controls within 90 days prior to the date of its audited financial statements, and
- certifies that Company and Group's internal controls are effective as of that date.

We have disclosed:

- that there are no significant deficiencies in the design or operation of internal controls which could adversely affect the Company's and Group's ability to record, process, summarise and report financial data, and has identified for the Company's and Group's auditors any material weaknesses in internal controls, and
- that there are no fraud that involves management or other employees who have a significant role in the Company's and Group's internal control; and
- that there are no significant changes in internal controls or in other factors that could significantly affect internal controls subsequent to the date of their evaluation, including any corrective actions with regard to significant deficiencies and material weaknesses.

The consolidated and separate financial statements of the Group and Company for year ended 31 May 2026 were approved by the Directors on 27 August 2026.

Signed on behalf of the Board of Directors by:


Decisigned by:
Mrs. I.M.O Okauru, MFR
Chairman
FRC/2016/ICAN/00000014169


Signed by:
Mr. Oghale Elueni
Chief Executive Officer
FRC/2026/PRO/DIR/003/287223


Signed by:
Mr. Oludare Ebenezer Elusakin
Chief Financial Officer
FRC/2024/PRO/ICAN/001/236689

Report of the Audit Committee

To: The members of PZ Cussons Nigeria Plc

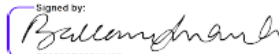
In accordance with the provisions of section 404(7) of the Companies and Allied Matters Act, 2020, the Members of the Audit Committee of PZ Cussons Nigeria Plc having carried out our statutory functions under the Act, hereby report that:

- a) the accounting and reporting policies of the Group and Company are in accordance with legal requirements and agreed ethical practices;
- b) the scope and planning of both the external and internal audit for the year ended 31 May, 2026 are satisfactory. The internal audit programmes reinforce the Group's and Company's internal control system; and
- c) having reviewed the Independent Auditor's memorandum of recommendations on accounting procedures and internal controls, we are satisfied with Management responses thereon.

Finally, we acknowledge the co-operation of Executive Management and staff in the conduct of our duties.

Members of the Audit Committee

Mallam Ballama Manu	Chairman, Director's Representative	FRC/2016/IODN/00000014340
Dr. S. A. Ndanusa	Directors' Representative	FRC/2014/NBA/00000007180
Mr. R. Ibekwe	Shareholders' Representative	FRC/2021/002/00000024757
Hon. B. Nwabughogu	Shareholders' Representative	FRC/2021/002/00000024861
Mr. O. Owoeye	Shareholders' Representative	FRC/2023/PRO/CIBN/002/879894

Signed by:

Mallam Ballama Manu
FRC/2016/IODN/00000014340

27 August 2026

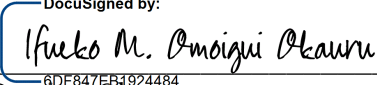
PZ CUSSONS NIGERIA PLC
Annual report, consolidated and separate financial statements
 31 May 2026

Management's Annual Assessment of, and Report on, PZ Cussons Nigeria Plc's Internal Control over Financial Reporting

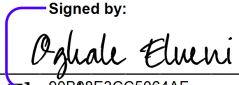
To comply with the provisions of Section 1.3 of SEC Guidance on Implementation of Sections 88 – 91 of The Investments and Securities Act 2025, we hereby make the following statements regarding the Internal Controls of PZ Cussons Nigeria Plc for the year ended 31 May 2026:

- i. PZ Cussons Nigeria Plc's management is responsible for establishing and maintaining a system of internal control over financial reporting ("ICFR") that provides reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with International Financial Reporting Standards.
- ii. PZ Cussons Nigeria Plc's management used the Committee of Sponsoring Organization of the Treadway Commission (COSO) Internal Control-Integrated Framework to conduct the required evaluation of the effectiveness of the entity's ICFR;
- iii. PZ Cussons Nigeria Plc's management has assessed that the entity's ICFR as of the end of 31 May 2026 is effective.
- iv. PZ Cussons Nigeria Plc's external auditor Messrs. PricewaterhouseCoopers that audited the financial statements, included in the annual report, has issued an attestation report on management's assessment of the entity's internal control over financial reporting.

The attestation report of Messrs. PricewaterhouseCoopers that audited its financial statements will be filed as part of PZ Cussons Nigeria Plc's annual report.

DocuSigned by:

 Ifueko M. Omoigui Okauru
 Chairperson
 FRC/2016/ICAN/00000014169

Date: 27 August 2026

Signed by:

 Oghale Elueni
 Chief Executive Officer
 FRC/2026/PRO/DIR/003/287223

Date: 27 August 2026

PZ CUSSONS NIGERIA PLC
Annual report, consolidated and separate financial statements
 31 May 2026

Certification of Management's Assessment on Internal Control over Financial Reporting

To comply with the provisions of Section 1.1 of SEC Guidance on Implementation of Sections 88 – 91 of The Investments and Securities Act 2025, I hereby make the following statements regarding the Internal Controls of PZ Cussons Nigeria Plc for the year ended 31 May 2026.

I, Oghale Elueni, certify that:

a) I have reviewed this management assessment on internal control over financial reporting of PZ Cussons Nigeria Plc;

b) Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;

c) Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the entity as of, and for, the periods presented in this report;

d) The entity's other certifying officer and I:

- 1) are responsible for establishing and maintaining internal controls;
- 2) have designed such internal controls and procedures, or caused such internal controls and procedures to be designed under our supervision, to ensure that material information relating to the entity, and its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;
- 3) have designed such internal control system, or caused such internal control system to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
- 4) have evaluated the effectiveness of the entity's internal controls and procedures as of a date within 90 days prior to the report and presented in this report our conclusions about the effectiveness of the internal controls and procedures, as of the end of the period covered by this report based on such evaluation.

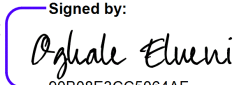
e) The entity's other certifying officer and I have disclosed, based on our most recent evaluation of internal control system, to the entity's auditors and the audit committee of the entity's board of directors:

- 1) All significant deficiencies and material weaknesses in the design or operation of the internal control system which are reasonably likely to adversely affect the entity's ability to record, process, summarize and report financial information; and
- 2) Any fraud, whether or not material, that involves management or other employees who have a significant role in the entity's internal control system.

f) The entity's other certifying officer and I have identified, in the report whether or not there were significant changes in internal controls or other facts that could significantly affect internal controls subsequent to the date of their evaluation including any corrective actions with regard to significant deficiencies and material weaknesses.

Name: Oghale Elueni
 FRC/2026/PRO/DIR/003/287223

Designation: Chief Executive Officer

Signature:  Signed by:
 90B08E3CC5064AF...

Date: 27 August 2026

PZ CUSSONS NIGERIA PLC
Annual report, consolidated and separate financial statements
 31 May 2026

Certification of Management's Assessment on Internal Control over Financial Reporting

To comply with the provisions of Section 1.1 of SEC Guidance on Implementation of Sections 88 – 91 of The Investments and Securities Act 2025, I hereby make the following statements regarding the Internal Controls of PZ Cussons Nigeria Plc for the year ended 31 May 2026.

I, Oludare Ebenezer Elusakin, certify that:

a) I have reviewed this Management assessment on internal control over financial reporting of PZ Cussons Nigeria Plc;

b) Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;

c) Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the entity as of, and for, the periods presented in this report;

d) The entity's other certifying officer and I:

- 1) are responsible for establishing and maintaining internal controls;
- 2) have designed such internal controls and procedures, or caused such internal controls and procedures to be designed under our supervision, to ensure that material information relating to the entity, and its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;
- 3) have designed such internal control system, or caused such internal control system to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
- 4) have evaluated the effectiveness of the entity's internal controls and procedures as of a date within 90 days prior to the report and presented in this report our conclusions about the effectiveness of the internal controls and procedures, as of the end of the period covered by this report based on such evaluation.

e) The entity's other certifying officer and I have disclosed, based on our most recent evaluation of internal control system, to the entity's auditors and the audit committee of the entity's board of directors:

- 1) All significant deficiencies and material weaknesses in the design or operation of the internal control system which are reasonably likely to adversely affect the entity's ability to record, process, summarize and report financial information; and
- 2) Any fraud, whether or not material, that involves management or other employees who have a significant role in the entity's internal control system.

f) The entity's other certifying officer and I have identified, in the report whether or not there were significant changes in internal controls or other facts that could significantly affect internal controls subsequent to the date of their evaluation including any corrective actions with regard to significant deficiencies and material weaknesses.

Name: Oludare Ebenezer Elusakin
 FRC/2024/PRO/ICAN/001/236689

Designation: Chief Financial Officer

Signature:  Signed by:
 D8254696210346E...

Date: 27 August 2026



Independent practitioner's report

To the Members of PZ Cussons Nigeria Plc

Report on an assurance engagement performed by an independent practitioner to report on management's assessment of controls over financial reporting

Our opinion

In our opinion, nothing has come to our attention that the internal control procedures over financial reporting put in place by management of PZ Cussons Nigeria Plc ("the company") and its subsidiary (together "the group") are not adequate as at 31 May 2026, based on the SEC Guidance on Implementation of Sections 88 – 91 of The Investments and Securities Act 2025 issued by The Securities and Exchange Commission.

What we have performed

We have performed an assurance engagement on PZ Cussons Nigeria Plc's internal control over financial reporting as of May 31, 2026, based on FRC Guidance on Assurance Engagement Report on Internal Control Over Financial Reporting ("the Guidance") issued by the Financial Reporting Council of Nigeria. The group's management is responsible for maintaining effective internal control over financial reporting, and for its assessment of the effectiveness of internal control over financial reporting, included in the accompanying Management annual assessment of, and report on PZ Cussons Nigeria Plc's internal control over financial reporting. Our responsibility is to express an opinion on the group's internal control over financial reporting based on our assurance engagement.

Basis for opinion

We conducted our assurance engagement in accordance with the Guidance, which requires that we plan and perform the assurance engagement and provide a limited assurance report on the group's internal control over financial reporting based on our assurance engagement. As prescribed in the Guidance, the procedures we performed included obtaining an understanding of internal control over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. Our engagement also included performing such other procedures as we considered necessary in the circumstances. We believe the procedures performed provide a basis for our report on the internal control put in place by management over financial reporting.

Definition and Limitations of Internal Control over Financial Reporting

A group's internal control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A group's internal control over financial reporting includes those policies and procedures that (i) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the group; (ii) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the group are being made only in accordance with authorizations of management and directors of the group; and (iii) provide

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Lagos, Nigeria



reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the group's assets that could have a material effect on the financial statements.

Because of its inherent limitations, internal control over financial reporting may not prevent or detect all misstatements. Also, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Other matter

We also have audited, in accordance with the International Standards on Auditing, the consolidated and separate financial statements of PZ Cussons Nigeria Plc and our report dated 28 August 2026 expressed an unqualified opinion.

A handwritten signature in black ink, reading 'Osere Alakhume'.

For: **PricewaterhouseCoopers**
Chartered Accountants
Lagos, Nigeria
FRC/2023/COY/176894



28 August 2026

Engagement Partner: Osere Alakhume
FRC/2013/PRO/ICAN/004/00000000647



Independent auditor's report

To the Members of PZ Cussons Nigeria Plc

Report on the audit of the consolidated and separate financial statements

Our opinion

In our opinion, the consolidated and separate financial statements give a true and fair view of the consolidated and separate financial position of PZ Cussons Nigeria Plc ("the company") and its subsidiary (together "the group") as at 31 May 2026, and of their consolidated and separate financial performance and their consolidated and separate cash flows for the year then ended in accordance with international financial reporting standards as issued by the International Accounting Standards Board ("IFRS Accounting Standards") and the requirements of the Companies and Allied Matters Act and the Financial Reporting Council of Nigeria (Amendment) Act, 2023.

What we have audited

PZ Cussons Nigeria Plc's consolidated, and separate financial statements comprise:

- the consolidated and separate statements of financial position as at 31 May 2026;
- the consolidated and separate statements of profit or loss and other comprehensive income for the year then ended;
- the consolidated and separate statements of changes in equity for the year then ended;
- the consolidated and separate statements of cash flows for the year then ended; and
- the notes to the consolidated and separate financial statements, which include a summary of material accounting policies.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the consolidated and separate financial statements section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Group in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards), i.e. the IESBA Code issued by the International Ethics Standards Board for Accountants. We have fulfilled our other ethical responsibilities in accordance with the IESBA Code.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined that there are no key audit matters to communicate in our report.

Other information

The directors are responsible for the other information. The other information comprises the Corporate information, Financial highlights, Directors' report, Statement of Directors responsibilities, Certification of financial statements, Report of the Audit Committee, Management annual assessment of, and report on PZ Cussons Nigeria Plc's internal control over financial reporting, Certification of management's assessment on internal control over financial reporting, Statement of value added, and Five year financial summary (but does not include the consolidated and separate financial statements and

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Lagos, Nigeria



our auditor's report thereon), which we obtained prior to the date of this auditor's report, and the other sections of the PZ Cussons Nigeria Plc 2026 Annual Report, which are expected to be made available to us after that date.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not and will not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the other sections of the PZ Cussons Nigeria Plc 2026 Annual Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of the directors and those charged with governance for the consolidated and separate financial statements

The directors are responsible for the preparation of the consolidated and separate financial statements that give a true and fair view in accordance with IFRS Accounting Standards and the requirements of the Companies and Allied Matters Act, the Financial Reporting Council of Nigeria (Amendment) Act, 2023, and for such internal control as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's responsibilities for the audit of the consolidated and separate financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required

to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the Group as a basis for forming an opinion on the consolidated and separate financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

The Companies and Allied Matters Act requires that in carrying out our audit we consider and report to you on the following matters. We confirm that:

- i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- ii) the company has kept proper books of account, so far as appears from our examination of those books and returns adequate for our audit have been received from locations not visited by us;
- iii) the company's statement of financial position and statement of profit or loss and other comprehensive income are in agreement with the books of account and returns

In accordance with the requirements of the Securities and Exchange Commission, we performed a limited assurance engagement and reported on management's assessment of PZ Cussons Nigeria Plc's internal control over financial reporting as of 31 May 2026. The work performed was done in accordance with FRC Guidance on Assurance Engagement Report on Internal Control Over Financial Reporting issued by the Financial Reporting Council of Nigeria, and we have issued an unqualified opinion in our report dated 28 August 2026.



For: **PricewaterhouseCoopers**
Chartered Accountants
Lagos, Nigeria

Engagement Partner: Osere Alakhume
FRC/2013/ICAN/004/00000000647

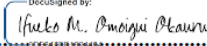


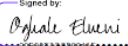
28 August 2026

Consolidated and separate statements of financial position
As at 31 May 2026

In thousands of Naira	Note	Group		Company	
		2026	2025	2026	2025
Assets					
Non-current assets					
Property, plant and equipment	4	20,366,273	18,063,354	18,006,839	16,212,238
Right-of-use assets	7	-	11,516	-	1,321
Intangible assets	9	105,962	211,924	105,962	211,924
Investment in subsidiary	10	-	-	504,406	504,406
Investment property	6	851,100	879,714	851,100	879,714
Deferred tax	21	6,892,680	27,777,194	836,430	16,805,439
Lease receivables	12.5	2,077,144	2,540,788	2,077,144	2,540,788
Total non-current assets		30,293,159	49,484,490	22,381,881	37,155,830
Current assets					
Inventories	11	61,270,580	53,497,584	35,608,961	33,769,517
Lease receivables	12.5	418,412	-	418,412	-
Trade and other receivables	12	24,864,718	12,335,805	26,267,841	20,601,123
Loan receivables	13	-	-	3,000,000	3,263,234
Other assets	14	862,689	927,926	862,689	899,223
Deposits for imports	15	356,415	10,920,180	356,415	10,913,889
Deliverable forwards	24	-	63,088	-	5,188
Cash and cash equivalents	16	40,762,517	40,659,864	38,159,618	38,166,207
Total current assets		128,535,331	118,404,447	104,673,936	107,618,381
Asset held for sale	5	740,544	1,013,414	740,544	1,013,414
Total assets		159,569,034	168,902,351	127,796,361	145,787,625
Equity and liabilities					
Equity					
Share capital	17	1,985,238	1,985,238	1,985,238	1,985,238
Share premium		6,878,269	6,878,269	6,878,269	6,878,269
Other reserves	17.1	53,106,801	14,293,613	53,106,801	14,293,613
Retained earnings		4,391,508	(38,772,700)	3,943,563	(33,206,044)
		66,361,816	(15,615,580)	65,913,871	(10,048,924)
Non-controlling interest		280,359	(1,725,577)	-	-
Total equity		66,642,175	(17,341,157)	65,913,871	(10,048,924)
Liabilities					
Non-current liabilities					
Deferred income	18	7,591	384,322	7,591	384,322
Warranty provisions	22	562,179	495,545	-	-
Total non-current liabilities		569,770	879,867	7,591	384,322
Current liabilities					
Trade and other payables	23	75,317,696	105,147,429	55,390,223	84,492,939
Borrowings	25	5,900,000	71,267,620	-	63,867,620
Deferred income	18	447,424	536,057	447,424	536,057
Contract liabilities	19	1,631,033	2,394,584	641,215	1,186,496
Current taxation payable	20	8,917,980	5,893,251	5,396,037	5,367,794
Warranty provisions	22	142,956	113,184	-	-
Lease liability	8	-	11,516	-	1,321
Total current liabilities		92,357,089	185,363,641	61,874,899	155,452,227
Total liabilities		92,926,859	186,243,508	61,882,490	155,836,549
Total equity and liabilities		159,569,034	168,902,351	127,796,361	145,787,625

These financial statements and other national disclosures on pages 22 to 78 were issued and approved by the board of directors on 27 August 2026 and signed on its behalf by the directors listed below:

Decided by:

Mrs. Ifueko M. Omoigui Okauru
Chairman
FRC/2016/ICAN/00000014169

Signed by:

Mr. Oghale Elueni
Chief Executive Officer
FRC/2026/PRO/DIR/003/287223

Signed by:

Mr. Oludare Ebenezer Elusakin
Chief Financial Officer
FRC/2024/PRO/ICAN/001/236689

The accompanying notes on pages 27 to 74 form an integral part of these financial statements.

Consolidated and separate statements of profit or loss and other comprehensive income
For the year ended 31 May 2026

<i>In thousands of naira</i>	Note	Group		Company	
		2026	2025	2026	2025
Revenue	28	260,456,428	212,634,336	151,550,256	126,086,639
Cost of sales	26.1	(187,191,170)	(154,926,172)	(102,935,999)	(87,244,715)
Gross profit		73,265,258	57,708,164	48,614,257	38,841,924
Selling and distribution expenses	26.1	(26,514,466)	(17,895,551)	(18,900,027)	(12,353,306)
Impairment charge on trade receivables	26.1	(278,864)	(203,559)	(223,745)	(87,377)
Administrative expenses	26.1	(21,167,879)	(14,701,674)	(19,892,555)	(13,440,560)
Foreign exchange gain/(loss)	26.2	11,835,354	(7,784,240)	9,749,433	(5,659,351)
Other income	27	39,919,900	1,799,393	40,116,618	1,768,997
Operating profit		77,059,303	18,922,533	59,463,981	9,070,327
Interest income	35	1,224,444	1,370,783	1,445,232	1,771,297
Interest cost	35	(965,436)	(3,632,761)	-	(46,494)
Profit before tax		77,318,311	16,660,555	60,909,213	10,795,130
Income tax expense	20	(32,148,167)	(6,593,836)	(23,759,606)	(4,196,314)
Profit for the year		45,170,144	10,066,719	37,149,607	6,598,816
Other comprehensive income		-	-	-	-
Total comprehensive income for the year		45,170,144	10,066,719	37,149,607	6,598,816
Attributable to:					
Equity holders of the parent company		43,164,208	9,207,630	37,149,607	6,598,816
Non-controlling interest		2,005,936	859,089	-	-
Total comprehensive income for the year		45,170,144	10,066,719	37,149,607	6,598,816
Basic and diluted earnings per share (Naira)	30	10.87	2.32	9.36	1.66

The accompanying notes on pages 27 to 74 form an integral part of these financial statements.

Consolidated and separate statements of changes in equity
For the year ended 31 May 2026

In thousands of naira	Notes	Group					
		Attributable to owners					
		Share capital	Share premium	Retained earnings	Non controlling interest	Other reserves	Total equity
Balance at 1 June 2025		1,985,238	6,878,269	(38,772,700)	(1,725,577)	14,293,613	(17,341,157)
Comprehensive income for the year							
Profit for the year		-	-	43,164,208	2,005,936	-	45,170,144
Other comprehensive income		-	-	-	-	-	-
Total comprehensive income for the year		-	-	43,164,208	2,005,936	-	45,170,144
Transactions with owners							
Capital contribution by parent company	17.1	-	-	-	-	38,813,188	38,813,188
Total transactions with owners, recorded directly in equity		-	-	-	-	38,813,188	38,813,188
Balance at 31 May 2026		1,985,238	6,878,269	4,391,508	280,359	53,106,801	66,642,175
Balance at 1 June 2024		1,985,238	6,878,269	(33,785,676)	(2,584,666)	-	(27,506,835)
Impact of prior year restatement:							
Unwinding of intercompany debt waiver		-	-	(14,293,613)	-	-	(14,293,613)
Capital contribution recognised		-	-	-	-	14,293,613	14,293,613
Balance as at 1 June 2024 - Restated		1,985,238	6,878,269	(48,079,289)	(2,584,666)	14,293,613	(27,506,835)
Comprehensive income for the year							
Profit for the year		-	-	9,207,630	859,089	-	10,066,719
Other comprehensive income		-	-	-	-	-	-
Total comprehensive income for the year		-	-	9,207,630	859,089	-	10,066,719
Transactions with owners							
Unclaimed dividends forfeited	23.1a	-	-	98,959	-	-	98,959
Total transactions with owners, recorded directly in equity		-	-	98,959	-	-	98,959
Balance at 31 May 2025		1,985,238	6,878,269	(38,772,700)	(1,725,577)	14,293,613	(17,341,157)

The accompanying notes on pages 27 to 74 form an integral part of these financial statements.

Consolidated and separate statements of changes in equity
For the year ended 31 May 2026

In thousands of naira	Notes	Company				
		Share capital	Share premium	Attributable to owners Retained earnings	Other reserves	Total equity
Balance at 1 June 2025		1,985,238	6,878,269	(33,206,044)	14,293,613	(10,048,924)
Comprehensive income for the year						
Profit for the year		-	-	37,149,607	-	37,149,607
Other comprehensive income		-	-	-	-	-
Total comprehensive income for the year		-	-	37,149,607	-	37,149,607
Transactions with owners						
Capital contribution by parent company	17.1				38,813,188	38,813,188
Total transactions with owners, recorded directly in equity				-	38,813,188	38,813,188
Balance at 31 May 2026		1,985,238	6,878,269	3,943,563	53,106,801	65,913,871
Balance at 1 June 2024		1,985,238	6,878,269	(25,610,206)	-	(16,746,699)
Impact of prior year restatement:						
Unwinding of intercompany debt waiver		-	-	(14,293,613)	-	(14,293,613)
Capital contribution recognised		-	-	-	14,293,613	14,293,613
Balance at 1 June 2024 - Restated		1,985,238	6,878,269	(39,903,819)	14,293,613	(16,746,699)
Comprehensive income for the year						
Profit for the year		-	-	6,598,816	-	6,598,816
Other comprehensive income		-	-	-	-	-
Total comprehensive income for the year		-	-	6,598,816	-	6,598,816
Transactions with owners						
Unclaimed dividends forfeited	23.1a	-	-	98,959	-	98,959
Total transactions with owners, recorded directly in equity		-	-	98,959	-	98,959
Balance at 31 May 2025		1,985,238	6,878,269	(33,206,044)	14,293,613	(10,048,924)

The accompanying notes on pages 27 to 74 form an integral part of these financial statements.

Consolidated and separate statements of cash flows
For the year ended 31 May 2026

In thousands of naira	Note	Group		Company	
		2026 ¹	2025 #	2026	2025
Operating activities					
Profit before tax		77,318,311	16,660,555	60,909,213	10,795,130
Adjustments for:					
Depreciation of property, plant and equipment	4	2,454,246	1,733,058	2,174,032	1,538,698
Depreciation of right-of-use assets	7	11,516	96,121	1,321	65,097
Depreciation of Investment property	6	28,614	60,428	28,614	60,428
Amortization of intangible assets	9	105,962	105,962	105,962	105,962
Impairment of PPE	4	264,501	155,908	264,501	143,956
Profit on disposal of PPE and assets held for sale	27.1	(38,665,909)	(6,532)	(38,648,235)	(998)
Effect of foreign exchange rate changes in cash		(1,649,585)	(251,415)	(1,580,039)	(213,853)
Effect of foreign exchange rate changes on borrowings	25.1	(6,073,484)	4,034,507	(6,073,484)	4,034,507
Interest expense	35	965,436	3,632,761	-	46,494
Interest income	35	(1,224,444)	(1,370,783)	(1,445,232)	(1,771,297)
		33,535,164	24,850,570	15,736,653	14,804,124
Change in:					
Inventories		(7,772,996)	(12,652,136)	(1,839,444)	(5,558,345)
Trade and other receivables	12.1	(6,028,913)	4,672,299	833,282	(6,159,508)
Other assets		65,237	800,322	36,534	801,692
Deposit for imports		10,563,765	2,781,745	10,557,474	(3,700,350)
Deliverable forwards		63,088	4,455,347	5,188	1,598,214
Trade and other payables		8,983,455	14,547,072	9,710,472	14,521,096
Deferred Income		(465,364)	(407,505)	(465,364)	(407,505)
Contract liabilities		(763,551)	1,701,917	(545,281)	533,049
Warranty provisions		96,406	284,276	-	-
Cash generated from operating activities		38,276,291	41,033,907	34,029,514	16,432,467
Income tax paid	20	(8,238,924)	(370,894)	(7,762,354)	-
Net cash generated from operating activities		30,037,367	40,663,013	26,267,160	16,432,467
Investing activities					
Interest income received		889,302	977,470	1,110,090	1,377,984
Lease receivable payment	12.5	380,374	345,794	380,374	345,794
Loan advanced	13	-	-	(2,875,209)	(14,500,000)
Interco loan repayment received	13	-	-	3,138,443	14,958,901
Proceeds from sale of property, plant and equipment	27.2	17,994,371	6,778	17,976,696	2,648
Proceeds from disposal of asset held for sale	27.1	14,493,088	-	14,493,088	-
Acquisition of property, plant and equipment	4	(5,070,345)	(4,992,405)	(4,281,813)	(4,441,093)
Net cash generated from/(used in) investing activities		28,686,789	(3,662,363)	29,941,669	(2,255,766)
Financing activities					
Principal drawdown in the year	25.1	-	2,900,000	-	-
Repayment of borrowings	25.1	(59,294,136)	(24,731,616)	(57,794,136)	(1,108,447)
Interest expense paid	35	(965,436)	(3,632,761)	-	(46,494)
Unclaimed dividend forfeited (statute barred)	23.1a	-	98,959	-	98,959
Lease payment	8	(11,516)	(96,121)	(1,321)	(65,097)
Net cash used in financing activities		(60,271,088)	(25,461,539)	(57,795,457)	(1,121,079)
Net (decrease)/increase in cash and cash equivalents		(1,546,932)	11,539,111	(1,586,628)	13,055,622
Cash and cash equivalents at 1 June		40,659,864	28,869,338	38,166,207	24,896,732
Effect of foreign exchange rate changes in cash		1,649,585	251,415	1,580,039	213,853
Cash and cash equivalents at 31 May	16	40,762,517	40,659,864	38,159,618	38,166,207

The accompanying notes on pages 27 to 74 form an integral part of these financial statements.

Notes to the consolidated and separate financial statements

1 General information

PZ Cussons Nigeria Plc is a Company incorporated in Nigeria on 4 December 1948 under the name of P.B. Nicholas and Company Limited. The name was changed to Alagbon Industries Limited in 1953 and to Associated Industries Limited in 1960. The Company became a public Company in 1972 and was granted a listing on the Nigerian Stock Exchange. The name was changed to Paterson Zochonis Industries Limited on 24 November 1976 and in compliance with the Companies and Allied Matters Act 2020 as amended, it changed its name to Paterson Zochonis Industries Plc on 22 November 1990. On 21 September, 2006, the Company adopted its present name of PZ Cussons Nigeria Plc.

The principal activities of the Company are the manufacture, distribution and sale of a wide range of consumer products and home appliances through owned depots. These products are leading brand names throughout the country in detergent, soap, cosmetics, refrigerators, freezers and air-conditioners. The Company also facilitates the distribution of products of Harefield Industrial Nigeria Limited.

The address of the registered office is 45/47 Town Planning Way, Ilupeju, Lagos.

These consolidated and separate financial statements are presented in Nigerian Naira which is the functional currency of the primary economic environment in which the Group operates. The financial statements have been rounded to the nearest thousands.

These consolidated and separate financial statements comprises that of the group and the stand alone financial statements of the parent Company.

2 Summary of material accounting policies of the Group and Company

2.1 Statement of compliance

The Group and Company's financial statements for the year ended 31 May 2026 have been prepared in accordance with International Financial Reporting Standards as issued by the International Accounting Standards Board ("IFRS Accounting Standards") and the requirements of the Companies and Allied Matters Act (CAMA) 2020 of Nigeria as amended and the Financial Reporting Council of Nigeria (Amendment) Act, 2023.

2.2 Basis of preparation and measurement

The preparation of consolidated and separate financial statements in conformity with generally accepted accounting principles under IFRS requires the Directors to make judgements, estimates and assumptions that affect the reported amounts of assets and liabilities at the reporting date and the reported amounts of revenues and expenses during the reporting period. Although these estimates are based on the Directors' best knowledge of the amount, event or actions, actual results ultimately may differ from those estimates. The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected. Disclosed in Note 2.25 are areas where significant judgements and estimates has been applied in the preparation of these financial statements.

The consolidated and separate financial statements have been prepared on the historical cost basis, except for financial assets and liabilities which are measured at amortised cost and inventories which are measured at the lower of cost and net realisable value at the end of each reporting period, as explained in the accounting policies below. Historical cost is generally based on the fair value of the consideration given in exchange for goods and services.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique. In estimating the fair value of an asset or a liability, the Group takes into account the characteristics of the asset or liability that market participants would take into account when pricing the asset or liability at the measurement date.

Fair value for measurement and/or disclosure purposes in the consolidated and separate financial statements is determined on such a basis, except for leasing transactions that are within the scope of IFRS 16, and measurements that have some similarities to fair value but are not fair value, such as net realisable value in IAS 2 or value in use in IAS 36.

2.2.1 Going concern

The consolidated and separate financial statements have been prepared on a going concern basis. Nothing has come to the attention of the Directors that cast doubt about the ability of the Group to continue as a going concern.

Notes to the consolidated and separate financial statements

2.2.2 Application of new and revised International Financial Reporting Standards

New and amended standards adopted by the Group and Company

The Group has applied the following standards and amendments for the first time for the annual reporting year commencing 1 June 2025:

(i) Amendments to IAS 21 The Effects of Changes in Foreign Exchange Rates titled Lack of Exchangeability (Effective 1 January 2025)

The amendments specify how to assess whether a currency is exchangeable, and how to determine the exchange rate when it is not.

The amendments state that a currency is exchangeable into another currency when an entity is able to obtain the other currency within a time frame that allows for a normal administrative delay and through a market or exchange mechanism in which an exchange transaction would create enforceable rights and obligations.

An entity assesses whether a currency is exchangeable into another currency at a measurement date and for a specified purpose. If an entity is able to obtain no more than an insignificant amount of the other currency at the measurement date for the specified purpose, the currency is not exchangeable into the other currency.

The assessment of whether a currency is exchangeable into another currency depends on an entity's ability to obtain the other currency and not on its intention or decision to do so.

When a currency is not exchangeable into another currency at a measurement date, an entity is required to estimate the spot exchange rate at that date. An entity's objective in estimating the spot exchange rate is to reflect the rate at which an orderly exchange transaction would take place at the measurement date between market participants under prevailing economic conditions.

The amendments do not specify how an entity estimates the spot exchange rate to meet that objective. An entity can use an observable exchange rate without adjustment or another estimation technique. Examples of an observable exchange rate include:

- a spot exchange rate for a purpose other than that for which an entity assesses exchangeability.
- the first exchange rate at which an entity is able to obtain the other currency for the specified purpose after exchangeability of the currency is restored (first subsequent exchange rate).

An entity using another estimation technique may use any observable exchange rate—including rates from exchange transactions in markets or exchange mechanisms that do not create enforceable rights and obligations—and adjust that rate, as necessary, to meet the objective as set out above.

When an entity estimates a spot exchange rate because a currency is not exchangeable into another currency, the entity is required to disclose information that enables users of its financial statements to understand how the currency not being exchangeable into the other currency affects, or is expected to affect, the entity's financial performance, financial position and cash flows.

The group has assessed the impact of these new standards and determined that the standards are not expected to have a material impact on the entity in the current or future reporting periods and on foreseeable future transactions.

Notes to the consolidated and separate financial statements

2.2.3 New accounting standards issued but not yet effective.

At the date of authorisation of these financial statements, the Group has not applied the following new and revised IFRS Standards that have been issued but are not yet effective.

(i) Amendments to IFRS 19 - Subsidiaries without Public Accountability: Disclosures (Effective 1 January 2027)

IFRS 19 permits an eligible subsidiary (defined as a subsidiary that does not have public accountability and has an ultimate or intermediate parent that produces consolidated financial statements available for public use that comply with IFRS Accounting Standards) to provide reduced disclosures when applying IFRS Accounting Standards in its financial statements.

The new standard is effective for reporting periods beginning on or after 1 January 2027 with earlier application permitted.

The directors of the entity anticipate that IFRS 19 will be applied for purposes of the consolidated financial statements of the group in future periods.

(ii) IFRS 18- Presentation and Disclosures in Financial statements (Effective 1 January 2027)

IFRS 18 replaces IAS 1, carrying forward many of the requirements in IAS 1 unchanged and complementing them with new requirements. In addition, some paragraphs from IAS 1 have been moved to IAS 8 and IFRS 7. Furthermore, the IASB has made minor amendments to IAS 7 and IAS 33 Earnings per Share

IFRS 18 introduces new requirements to:

- Present specified categories and defined subtotals in the statement of profit or loss.
- Provide disclosures on management-defined performance measures (MPMs) in the notes to the financial statements.
- Improve aggregation and disaggregation.

An entity is required to apply IFRS 18 for annual reporting periods beginning on or after 1 January 2027, with earlier application permitted. The amendments to IAS 7 and IAS 33, as well as the revised IAS 8 and IFRS 7, become effective when an entity applies IFRS 18. IFRS 18 requires retrospective application with specific transition provisions.

The directors of the entity anticipate that the application of these amendments may have an impact on the Group's consolidated financial statements in future periods.

(iii) Amendments to IFRS 7 Financial Instruments: Disclosures and IFRS 19 Subsidiaries without Public Accountability - Contracts Referencing Nature-dependent Electricity: Disclosures (Effective 1 January 2026)

IFRS 7 and IFRS 19 were amended to introduce disclosure requirements about contracts for nature-dependent electricity with specified characteristics.

The amendments are effective for annual periods beginning on or after 1 January 2026, with earlier application permitted. The amendments to the own use exemption are required to be applied retrospectively in accordance with IAS 8 using the facts and circumstances at the date of initial application. The amendments to the hedge accounting requirements are to be applied prospectively to new hedging relationships designated on or after the date of initial application.

The directors of the entity anticipate that the application of these amendments may have an impact on the group's consolidated financial statements in future periods.

Notes to the consolidated and separate financial statements

2.2.3 New accounting standards in issue but not yet effective (continued)

(iv) Amendments to IFRS 9 Financial Instruments (Effective 1 January 2026)

The following requirements of IFRS 9 are affected by the amendments:

- the own-use requirements in IFRS 9 are amended to include the factors an entity is required to consider when applying IFRS 9.2.4 to contracts to buy and take delivery of renewable electricity for which the source of production of the electricity is nature-dependent; and
- the hedge accounting requirements in IFRS 9 are amended to permit an entity using a contract for nature-dependent renewable electricity with specified characteristics as a hedging instrument.
- to designate a variable volume of forecast electricity transactions as the hedged item if specified criteria are met; and
- to measure the hedged item using the same volume assumptions as those used for the hedging instrument

The directors of the entity anticipate that the application of these amendments may have an impact on the group's consolidated financial statements in future periods.

2.3 Basis of consolidation

The consolidated financial statements incorporate the financial statements of PZ Cussons Nigeria PLC and HPZ Limited. Control is achieved when the Company:

- has power over the investee;
- is exposed, or has rights, to variable returns from its involvement with the investee; and
- has the ability to use its power to affect its returns.

The Group reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control listed above. When the Group has less than a majority of the voting rights of an investee, it has power over the investee when the voting rights are sufficient to give it the practical ability to direct the relevant activities of the investee unilaterally.

The Group considers all relevant facts and circumstances in assessing whether or not the Group's voting rights in an investee are sufficient to give it power, including:

- the size of the Group's holding of voting rights relative to the size and dispersion of holdings of the other vote holders;
- potential voting rights held by the Group, other vote holders or other parties; rights arising from other contractual arrangements;
- rights arising from other contractual agreements; and
- any additional facts and circumstances that indicate that the Group has, or does not have, the current ability to direct the relevant activities at the time that decisions need to be made, including voting patterns at previous shareholders' meetings.

Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Specifically, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated statement of profit or loss and other comprehensive income from the date the Group gains control until the date when the Group ceases to control the subsidiary.

Non-controlling interests in subsidiaries are identified separately from the Group's equity. Those interests of non-controlling shareholders that are present ownership interests entitling their holders to a proportionate share of net assets upon liquidation may initially be measured at fair value or at the non-controlling interests' proportionate share of the fair value of the acquiree's identifiable net assets. The choice of measurement is made on an acquisition by acquisition basis. Other non-controlling interests are initially measured at fair value. Subsequent to acquisition, the carrying amount of non-controlling interests is the amount of those interests at initial recognition plus the non-controlling interests' share of subsequent changes in equity. Total comprehensive income is attributed to non-controlling interests even if this results in the non-controlling interests having a deficit balance.

Notes to the consolidated and separate financial statements

2.3 Basis of consolidation (Continued)

Changes in the Group's interests in subsidiaries that do not result in a loss of control are accounted for as equity transactions. The carrying amount of the Group's interests and the non-controlling interests are adjusted to reflect the changes in their relative interests in the subsidiaries. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received is recognised directly in equity and attributed to the owners of the Company.

When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies in line with the Group's accounting policies.

All intragroup assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

2.4 Business combinations

Acquisitions of businesses are accounted for using the acquisition method. The consideration transferred in a business combination is measured at fair value, which is calculated as the sum of the acquisition date fair values of the assets transferred by the Group, liabilities incurred by the Group to the former owners of the acquiree and the equity interests issued by the Group in exchange for control of the acquiree. Acquisition-related costs are generally recognised in profit or loss as incurred.

At the acquisition date, the identifiable assets acquired, and the liabilities assumed are recognised at their fair value, except that:

- deferred tax assets or liabilities, and assets or liabilities related to employee benefit arrangements are recognised and measured in accordance with IAS 12 Income Taxes and IAS 19 respectively;
- liabilities or equity instruments related to share-based payment arrangements of the acquiree or share-based payment arrangements of the Group entered into to replace share-based payment arrangements of the acquiree are measured in accordance with IFRS 2 at the acquisition date; and
- assets (or disposal groups) that are classified as held for sale in accordance with IFRS 5 Non-current Assets Held for Sale and Discontinued Operations are measured in accordance with that Standard.

2.5 Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the Chief Operating Decision Maker. The Chief Operating Decision Maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Executive Management which comprises the two Executive Directors.

An operating segment is a distinguishable component of the Group that earns revenue and incurs expenditure from providing related products or services (business segment), or providing products or services within a particular economic environment (geographical segment), and which is subject to risks and returns that are different from those of other segments.

The primary format for segment reporting is based on business segments. The business segments are determined by management based on the Group's internal reporting structure.

2.6 Revenue recognition

Revenue is measured at the fair value of the consideration received or receivable for sale of home and personal care products and durable electrical appliances, in the ordinary course of the Group's activities and it is stated net of value added tax (VAT), rebates and returns. A valid contract is recognised as revenue after the below conditions are met:

- The contract is approved by the parties
- Rights and obligations are recognised
- Collectability is probable
- The contract has commercial substance; and
- The payment terms and consideration are identifiable.

The probability that a customer would make payment is ascertained based on the evaluation done on the customer as stated in the credit management policy at the inception of the contract. The Group is the principal in all of its revenue arrangements since it is the primary obligor in most of the revenue arrangements, has inventory risk and determines the pricing for the goods and services.

Notes to the consolidated and separate financial statements

2.6.1 Sale of goods

For sales of consumer goods to the wholesale market, revenue is recognised when control of the goods has transferred, being generally on receipt or collection by wholesaler. Following receipt, the wholesaler has full discretion over the manner of distribution and price to sell the goods, has the primary responsibility when on selling the goods and bears the risks of obsolescence and loss in relation to the goods. A receivable is recognised by the Group on receipt or collection by wholesaler as this represents the point in time at which the right to consideration becomes unconditional, as only the passage of time is required before payment is due.

Under the Group's standard contract terms, customers have a right of return within 30 days.

The Group uses its accumulated historical experience to estimate the number of returns on a portfolio level using the expected value method. It is considered highly probable that a significant reversal in the cumulative revenue recognised will not occur given the consistent level of returns over previous years.

For sales of goods to the wholesale market, revenue is recognised by the Group at a point in time in line with the policy outlined above for the sale of consumer goods.

2.6.2 Tradex

Tradex is made up of customer pricing allowances and promotional allowances, governed by agreements with our trade customers. Accruals are recognised under the terms of these agreements, to reflect the expected promotional activity and our historical experience. These accruals are reported within trade and other payables.

The Group provides for amounts payable to trade customers for promotional activity. Where a promotional activity spans across the year end, an accrual is reflected in the Group accounts based on our expectation of consumer uptake during the promotional period and the extent to which temporary promotional activity has occurred.

2.6.3 Contract liabilities

A contract liability is the obligation to transfer goods or services to a customer for which the Group has received consideration (or an amount of consideration is due) from the customer. If a customer pays consideration before the Group transfers goods or services to the customer, a contract liability is recognised when the payment is made or the payment is due (whichever is earlier). Contract liabilities are recognised as revenue when the Group performs under the contract.

2.7 Leases

The Group's leasing activities and its accounting policies under IFRS 16

The nature of the Group's leasing activities is mainly motor vehicles. Rental contracts are typically made for fixed periods of 1 to 3 years but may have extension options as described in (i) below.

i Extension and termination options

Extension and termination options are included in a number of motor vehicle leases across the Group. These terms are used to maximise operational flexibility in terms of managing contracts. The majority of extension and termination options held are exercisable only by the Group and not by the respective lessor.

Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted by using the Group's incremental borrowing rate.

- fixed lease payments (including in substance fixed payments), less any lease incentives;
- variable lease payments that depend on an index or rate, initially measured using the index or rate at the commencement date; and
- payments of penalties for terminating the lease, if the lease term reflects the exercise of an option to terminate the lease.

The lease liability is presented as a separate line in the consolidated statement of financial position.

The lease liability is subsequently measured by increasing the carrying amount to reflect interest on the lease liability (using the effective interest method) and by reducing the carrying amount to reflect the lease payments made.

The Group measures the lease liability (and makes a corresponding adjustment to the related right-of-use asset) whenever:

Notes to the consolidated and separate financial statements

2.7 Leases (Continued)

- the lease term has changed or there is a change in the assessment of exercise of a purchase option, in which case the lease liability is measured by discounting the revised lease payments using a revised discount rate.
- the lease payments change due to changes in an index or rate or a change in expected payment under a guaranteed residual value, in which cases the lease liability is measured by discounting the revised lease payments using the initial discount rate (unless the lease payments change is due to a change in a floating interest rate, in which case a revised discount rate is used).
- a lease contract is modified and the lease modification is not accounted for as a separate lease, in which case the lease liability is measured by discounting the revised lease payments using a revised discount rate.

The right-of-use assets comprise the initial measurement of the corresponding lease liability, lease payments made at or before the commencement day and any initial direct costs. They are subsequently measured at cost less accumulated depreciation and impairment losses. The depreciation is computed using the straight line method.

Whenever the Group incurs an obligation for costs to dismantle and remove a leased asset, restore the site on which it is located or restore the underlying asset to the condition required by the terms and conditions of the lease, a provision is recognised and measured under IAS 37. The costs are included in the related right-of-use asset, unless those costs are incurred to produce inventories.

Right-of-use assets are depreciated over the shorter period of lease term and useful life of the underlying asset. If a lease transfers ownership of the underlying asset or the cost of the right-of-use asset reflects that the Group expects to exercise a purchase option, the related right-of-use asset is depreciated over the useful life of the underlying asset. The depreciation starts at the commencement date of the lease. The Group has leases that include purchase options or transfer ownership of the underlying asset.

Variable rents that do not depend on an index or rate are not included in the measurement of the lease liability and the right-of-use asset.

The related payments are recognised as an expense in the period in which the event or condition that triggers those payments occurs and are included in the line "Other operating expenses" in the Income Statement.

For short-term leases (lease term of 12 months or less) and leases of low-value assets, the Group has opted to recognise a lease expense on a straight-line basis as permitted by IFRS 16. This expense is presented within administrative expenses in the Consolidated income Statement.

As a practical expedient, IFRS 16 permits a lessee not to separate non-lease components, and instead account for any lease and associated non-lease components as a single arrangement. The Group has not used this practical expedient.

ii **As a lessor**

At inception or on modification of a contract that contains a lease component, the Company allocates the consideration in the contract to each lease component on the basis of their relative standalone prices. When the Company acts as a lessor, it determines at lease inception whether each lease is a finance lease or an operating lease.

To classify each lease, the Company makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then it is an operating lease. As part of this assessment, the Company considers certain indicators such as whether the lease is for the major part of the economic life of the asset.

When the Company is an intermediate lessor, it accounts for its interests in the head lease and the sub-lease separately. It assesses the lease classification of a sub-lease with reference to the right-of-use asset arising from the head lease, not with reference to the underlying asset. If a head lease is a short-term lease to which the Company applies the exemption described above, then it classifies the sub-lease as an operating lease. If an arrangement contains lease and non-lease components, then the Company applies IFRS 15 to allocate the consideration in the contract.

The Company applies the derecognition and impairment requirements in IFRS 9 to the net investment in the lease. The Company further regularly reviews estimated unguaranteed residual values used in calculating the gross investment in the lease. The Company recognises lease payments received under operating leases as income on a straight-line basis over the lease term as part of 'other income'.

Notes to the consolidated and separate financial statements

2.8

Foreign currencies

Functional and presentation currency

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The consolidated and separate financial statements are presented in 'Nigerian Naira' (N).

Transactions and balances

In preparing the financial statements of the individual companies, transactions in currencies other than the entity's functional currency (foreign currencies) are recognised at the rates of exchange prevailing on the dates of the transactions. At each reporting date, monetary assets and liabilities that are denominated in foreign currencies are retranslated at the rates prevailing at that date. Non-monetary items carried at fair value that are denominated in foreign currencies are translated at the rates prevailing at the date when the fair value was determined.

Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

Exchange differences are recognised in profit or loss in the period in which they arise except for:

Exchange differences on foreign currency borrowings relating to assets under construction for future productive use, which are included in the cost of those assets when they are regarded as an adjustment to interest costs on those foreign currency borrowings;

Exchange differences on transactions entered into to hedge certain foreign currency risks (see below under financial instruments/hedge accounting); and

Exchange differences on monetary items receivable from or payable to a foreign operation for which settlement is neither planned nor likely to occur in the foreseeable future (therefore forming part of the net investment in the foreign operation), which are recognised initially in other comprehensive income and reclassified from equity to profit or loss on disposal or partial disposal of the net investment.

Foreign exchange gains and losses that relate to borrowings and cash and cash equivalents are presented net in the income statement within finance income or cost". All other foreign exchange gains and losses are presented separately in the income statement where material.

2.9

Interest income and expense

Interest income and expense are recognised in the income statement in the period in which they are earned or incurred. Interest income and expense are recognised using the effective interest method.

2.10

Employee benefits

2.10.1 Short-term employee benefit - Gratuity scheme

PZ Cussons Nigeria Plc gratuity scheme is a short-term employee benefit that is computed based on the agreement between PZ Cussons Nigeria Plc and Staff of PZ Cussons Nigeria Plc dated 31 December 2006.

The scheme expense is computed on a monthly basis based on the length of service of the employee and the gross pay of the employee for the year under consideration. The scheme is funded directly using the Group's cash flow and expensed to the income statement appropriately.

The PZ Cussons Nigerian Plc gratuity scheme runs from January to December of each year and it is paid in the month of February of the subsequent year. The gratuity scheme obligation at the end of each year relates to gratuity award for January to May that are due to be paid to staff but unpaid as at year end.

The scheme is only applicable for staff engaged before 1 January 2007 hence, all staff employed subsequently are not covered by the scheme.

Notes to the consolidated and separate financial statements

2.10.2 Defined contribution scheme

The Group operates a defined contribution plan. The defined contribution plan pays a fixed contribution into a separate entity. Hence, the Group has no legal or constructive obligation to pay further contribution if the fund does not hold sufficient asset to pay all the employees the benefits relating to employees' service in the current and prior period.

The contributions are recognised as employee benefit expenses when they are due. The Group has no further payment obligation once the contributions have been paid. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in the future payment is available. The Group and employees each contribute 15% and 10% respectively in accordance with the Pension Reform Act (PRA 2014) as amended.

2.10.3 Incentive and bonus scheme

The Group recognises a liability and expense for incentive and bonus scheme based on the formula that takes into consideration the Group's objectives (net sales, operating profit and free cash flow).

The Group recognises a provision where contractually obliged or where there is a past practice that has created a constructive obligation.

2.10.4 Termination benefit

Termination benefits are expensed at the earlier of when the Group can no longer withdraw the offer of those benefits and when the Group recognises costs for a restructuring. Benefits are expected to be settled wholly within 12 months of the reporting date.

2.11 Current and deferred tax

The tax for the period comprises current and deferred tax. Tax is recognised in the income statement, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is recognised in other comprehensive income or directly in equity, respectively.

The tax currently payable is based on taxable profit for the year. Taxable profit differs from net profit as reported in the income statement because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The Group's liability for current tax is calculated using tax rates that have been enacted or substantively enacted at the reporting date.

A provision is recognised for those matters for which the tax determination is uncertain but it is considered probable that there will be a future outflow of funds to a tax authority. The provisions are measured at the best estimate of the amount expected to become payable. The assessment is based on the judgement of tax professionals within the Group supported by previous experience in respect of such activities and in certain cases based on specialist independent tax advice.

Deferred tax

Deferred tax is the tax expected to be paid or recoverable on differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit, and is accounted for using the liability method. Deferred tax liabilities are generally recognised for all taxable temporary differences and deferred tax assets are recognised to the extent that it is probable that taxable profits will be available against which deductible temporary differences can be utilised. Such assets and liabilities are not recognised if the temporary difference arises from goodwill or from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable nor the accounting profit.

Deferred tax liabilities are recognised for taxable temporary differences arising on investments in subsidiaries except where the Group is able to control the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future. Deferred tax assets arising from deductible temporary differences associated with such investments and interests are only recognised to the extent that it is probable that there will be sufficient taxable profits against which to utilise the benefits of the temporary differences and they are expected to reverse in the foreseeable future.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the assets to be recovered. Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled or the asset is realised based on tax laws and rates that have been enacted or substantively enacted at the reporting date.

The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Group expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities and when they relate to income taxes levied by the same taxation authority and the group intends to settle its current tax liabilities and current tax assets on a net basis.

Notes to the consolidated and separate financial statements

Current tax and deferred tax for the year

Current and deferred tax are recognised in profit or loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity respectively. Where current tax or deferred tax arises from the initial accounting for a business combination, the tax effect is included in the accounting for the business combination.

2.12 Property, plant and equipment

All property, plant and equipment are initially recognised at cost and subsequently stated at historical cost less accumulated depreciation and impairment losses.

Land and buildings comprise mainly of buildings for factories and offices.

Historical cost includes purchase costs, expenditure that is directly attributable to the acquisition of the items and the estimate of the cost of decommissioning (dismantling, removing the asset and restoring the site).

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the company or the group and the cost can be measured reliably. The carrying amount of the replaced cost is derecognised. All other repairs and maintenance are charged to the income statement during the financial period in which they are incurred.

Depreciation is calculated over the depreciable amount, which is the cost of an asset, or other amount substituted for cost, less its residual value and it is charged when such asset is available for use. Depreciation is recognized in profit or loss on a straight-line basis over the estimated useful life of each part of an item of property, plant and equipment which reflects the expected pattern of consumption of the future economic benefits embodied in the asset.

The estimated useful life for the current and comparative periods are as follows:

Leasehold land and buildings	- Over 50 years	2%
	- Under 50 years	Over the lease period
Plant and machinery		4% - 33.3%
Furniture, Fittings and IT equipment		20% -33.3%
Motor vehicles		25%
Capital work in progress		Nil

The assets' residual values and useful life are reviewed and adjusted if appropriate, at each reporting date.

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from continued use of the asset. Gain or loss arising on disposal of an item of property, plant and equipment is determined as the difference between the sales proceeds and the carrying amount of assets and is recognised in the profit or loss.

Capital work in progress represents assets under construction. Accordingly, they are not depreciated until they are completed and available for use.

The annual rates of depreciation are consistent with those of prior year.

Property, plant and equipment that are subject to depreciation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. Property, plant and equipment that suffer impairment are reviewed for possible reversal of the impairment at each balance sheet date.

2.13 Warranty

Provision for products warranty is made at the time of revenue recognition and reflects the estimated costs of replacement and free-of-charge services that will be incurred by the group with respect to the products. Initial recognition is based on historical experience. The group generally offers 1 - 3 year warranties for its electrical products and components. Adequacy of provision is accessed on a monthly basis; and any resultant adjustment is reflected in the income statement of the period.

2.14 Non-financial assets

Assets that are subject to amortisation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units). Non-financial assets other than goodwill that suffered impairment are reviewed for possible reversal of the impairment at each reporting date.

Notes to the consolidated and separate financial statements

2.15 Financial instruments

Financial assets and financial liabilities are recognised in the Group's statement of financial position when the Group becomes a party to the contractual provisions of the instrument.

Financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit or loss are recognised immediately in profit or loss.

2.15.1 Financial assets

All regular purchases or sales of financial assets are recognised and derecognised on a trade date basis.

Regular purchases or sales are purchases or sales of financial assets that require delivery of assets within the time frame established by regulation or convention in the marketplace.

All recognised financial assets are measured subsequently in their entirety at either amortised cost or fair value, depending on the classification of the financial assets.

Classification of financial assets

Debt instruments that meet the following conditions are measured subsequently at amortised cost:

- the financial asset is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Debt instruments that meet the following conditions are measured subsequently at fair value through other comprehensive income (FVTOCI):

- the financial asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling the financial assets; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

By default, all other financial assets are measured subsequently at fair value through profit or loss (FVTPL).

Despite the foregoing, the Group may make the following irrevocable election/designation at initial recognition of a financial asset:

- the Group may irrevocably elect to present subsequent changes in fair value of an equity investment in other comprehensive income if certain criteria are met (see (iii) below); and
- the Group may irrevocably designate a debt investment that meets the amortised cost or FVTOCI criteria as measured at FVTPL if doing so eliminates or significantly reduces an accounting mismatch (see (iii) below:

(i) Amortised cost and effective interest method

The effective interest method is a method of calculating the amortised cost of a debt instrument and of allocating interest income over the relevant period.

For financial assets other than purchased or originated credit impaired financial assets (i.e. assets that are credit impaired on initial recognition), the effective interest rate is the rate that exactly discounts estimated future cash receipts (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) excluding expected credit losses, through the expected life of the debt instrument, or, where appropriate, a shorter period, to the gross carrying amount of the debt instrument on initial recognition. For purchased or originated credit impaired financial assets, a credit adjusted effective interest rate is calculated by discounting the estimated future cash flows, including expected credit losses, to the amortised cost of the debt instrument on initial recognition.

The amortised cost of a financial asset is the amount at which the financial asset is measured at initial recognition minus the principal repayments, plus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount, adjusted for any loss allowance. The gross carrying amount of a financial asset is the amortised cost of a financial asset before adjusting for any loss allowance.

Notes to the consolidated and separate financial statements

2.15.1 Financial assets (Continued)

(i) Amortised cost and effective interest method (Continued)

Interest income is recognised using the effective interest method for debt instruments measured subsequently at amortised cost and at FVTOCI. For financial assets other than purchased or originated credit impaired financial assets, interest income is calculated by applying the effective interest rate to the gross carrying amount of a financial asset, except for financial assets that have subsequently become credit impaired.

For financial assets that have subsequently become credit impaired, interest income is recognised by applying the effective interest rate to the amortised cost of the financial asset. If, in subsequent reporting periods, the credit risk on the credit impaired financial instrument improves so that the financial asset is no longer credit impaired, interest income is recognised by applying the effective interest rate to the gross carrying amount of the financial asset.

For purchased or originated credit impaired financial assets, the Group recognises interest income by applying the credit adjusted effective interest rate to the amortised cost of the financial asset from initial recognition.

The calculation does not revert to the gross basis even if the credit risk of the financial asset subsequently improves so that the financial asset is no longer credit impaired.

(ii) Equity instruments designated at FVTOCI

On initial recognition, the Group may make an irrevocable election (on an instrument by instrument basis) to designate investments in equity instruments as at FVTOCI. Designation at FVTOCI is not permitted if the equity investment is held for trading or if it is contingent consideration recognised by an acquirer in a business combination.

Investments in equity instruments at FVTOCI are initially measured at fair value plus transaction costs.

Subsequently, they are measured at fair value with gains and losses arising from changes in fair value recognised in other comprehensive income and accumulated in the investments revaluation reserve. The cumulative gain or loss is not reclassified to profit or loss on disposal of the equity investments, instead, it is transferred to retained earnings.

Dividends on these investments in equity instruments are recognised in profit or loss in accordance with IFRS 9, unless the dividends clearly represent a recovery of part of the cost of the investment.

The Group does not have and neither have they designated any investments in equity instruments that are not held for trading as at FVTOCI on initial application of IFRS 9.

(iii) Financial assets at FVTPL

Financial assets that do not meet the criteria for being measured at amortised cost or FVTOCI (see (i) to (ii) above) are measured at FVTPL. Specifically:

- Investments in equity instruments are classified as FVTPL, unless the Group designates an equity investment that is neither held for trading nor a contingent consideration arising from a business combination as FVTOCI on initial recognition (see (ii) above).
- Debt instruments that do not meet the amortised cost criteria or the FVTOCI criteria (see (i) and (ii) above) are classified as FVTPL. In addition, debt instruments that meet either the amortised cost criteria or the FVTOCI criteria may be designated as FVTPL upon initial recognition if such designation eliminates or significantly reduces a measurement or recognition inconsistency (so called 'accounting mismatch') that would arise from measuring assets or liabilities or recognising the gains and losses on them on different basis. The Group has not designated any debt instruments as FVTPL.

Financial assets at FVTPL are measured at fair value at the end of each reporting period, with any fair value gains or losses recognised in profit or loss to the extent they are not part of a designated hedging relationship. The net gain or loss recognised in profit or loss includes any dividend or interest earned on the financial asset and is included in the 'other gains and losses' line item.

Cash and cash equivalents

The Group considers all highly liquid unrestricted investments with less than three months maturity from the date of acquisition to be cash and cash equivalents. Bank overdrafts that are repayable on demand and form an integral part of the Group's cash management are included as a component of cash and cash equivalents for the purpose of the statement of cash flows.

Notes to the consolidated and separate financial statements

2.15.1 Financial assets (Continued)

Foreign exchange gains and losses

The carrying amount of financial assets that are denominated in a foreign currency is determined in that foreign currency and translated at the spot rate at the end of each reporting period. Specifically;

- for financial assets measured at amortised cost that are not part of a designated hedging relationship, exchange differences are recognised in profit or loss;
- for debt instruments measured at FVTOCI that are not part of a designated hedging relationship, exchange differences on the amortised cost of the debt instrument are recognised in profit or loss. Other exchange differences are recognised in other comprehensive income in the investments revaluation reserve;
- for financial assets measured at FVTPL that are not part of a designated hedging relationship, exchange differences are recognised in profit or loss; and
- for equity instruments measured at FVTOCI, exchange differences are recognised in other comprehensive income in the investments revaluation reserve.

The Group recognises a loss allowance for expected credit losses (ECL) on investments in debt instruments that are measured at amortised cost or at FVTOCI, lease receivables, trade receivables and contract assets, as well as on financial guarantee contracts. The amount of expected credit losses is updated at each reporting date to reflect changes in credit risk since initial recognition of the respective financial instrument.

The Group recognises lifetime ECL for trade receivables, contract assets and lease receivables. The expected credit losses on these financial assets are estimated using a provision matrix based on the Group's historical credit loss experience, adjusted for factors that are specific to the debtors, general economic conditions and an assessment of both the current as well as the forecast direction of conditions at the reporting date, including time value of money where appropriate.

For all other financial instruments, the Group recognises lifetime ECL when there has been a significant increase in credit risk since initial recognition. However, if the credit risk on the financial instrument has not increased significantly since initial recognition, the Group measures the loss allowance for that financial instrument at an amount equal to 12 month ECL.

Lifetime ECL represents the expected credit losses that will result from all possible default events over the expected life of a financial instrument. In contrast, 12 month ECL represents the portion of lifetime ECL that is expected to result from default events on a financial instrument that are possible within 12 months after the reporting date.

Definition of default

The Group considers the following as constituting an event of default for internal credit risk management purposes as historical experience indicates that financial assets that meet either of the following criteria are generally not recoverable:

- When there is a breach of financial covenants by the debtor; or
- Information developed internally or obtained from external sources indicates that the debtor is unlikely to pay its creditors, including the Group, in full (without taking into account any collateral held by the Group).

Irrespective of the above analysis, the Group considers that default has occurred when a financial asset is more than 90 days past due unless the Group has reasonable and supportable information to demonstrate that a more lagging default criterion is more appropriate.

Write-off policy

The Group writes off a financial asset when there is information indicating that the debtor is in severe financial difficulty and there is no realistic prospect of recovery, e.g. when the debtor has been placed into liquidation or has entered into bankruptcy proceedings, or in the case of trade receivables, when the amounts are over two years past due, whichever occurs sooner unless there is sufficient security. Financial assets written off may still be subject to enforcement activities under the Group's recovery procedures, taking into account legal advice where appropriate. Any recoveries made are recognised in profit or loss.

The Group derecognises a financial asset when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another party. If the Group neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Group recognises its retained interest in the asset and an associated liability for amounts it may have to pay. If the Group retains substantially all the risks and rewards of ownership of a transferred financial asset, the Group continues to recognise the financial asset and also recognises a collateralised borrowing for the proceeds received.

Notes to the consolidated and separate financial statements

2.15.1 Financial assets (Continued)

Derecognition of financial assets

On derecognition of a financial asset in its entirety, the difference between the asset's carrying amount and the sum of the consideration received or receivable and the cumulative gain or loss that had been recognised in other comprehensive income and accumulated in equity is recognised in profit or loss.

On derecognition of a financial asset other than in its entirety (e.g. when the Group retains an option to repurchase part of a transferred asset), the Group allocates the previous carrying amount of the financial asset between the part it continues to recognise under continuing involvement, and the part it no longer recognises on the basis of the relative fair values of those parts on the date of the transfer. The difference between the carrying amount allocated to the part that is no longer recognised and the sum of the consideration received for the part no longer recognised and any cumulative gain or loss allocated to it that had been recognised in other comprehensive income is recognised in profit or loss. A cumulative gain or loss that had been recognised in other comprehensive income is allocated between the part that continues to be recognised and the part that is no longer recognised on the basis of the relative fair values of those parts.

2.15.2 Financial liabilities

Financial liabilities are classified as financial liabilities at amortised cost.

Borrowings, Lease liabilities and Trade and other payables are all classified as financial liabilities at amortised cost using the effective interest method.

The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the financial liability, or (where appropriate) a shorter period, to the net carrying amount on initial recognition.

Trade payables

Trade payables are not interest bearing and are stated at fair value and subsequently measured at amortised cost.

Borrowings

Interest-bearing bank loans and overdrafts are initially recorded at fair value, net of direct issue costs, and are subsequently measured at amortised cost. Finance charges, including premiums payable on settlement or redemption and direct issue costs, are accounted for on an accruals basis through the Income Statement using the effective interest method and are added to the carrying amount of the instrument to the extent that they are not settled in the year in which they arise.

Share capital

The Company has only one class of shares ordinary shares. Ordinary shares are classified as equity. When new shares are issued, they are recorded in share capital at their par value. The excess of the issue price over the par value is recorded in the share premium reserve. The use of the share premium account is governed by Section 145(4) of CAMA.

All ordinary shares rank equally with regards to the Company's residual assets. Holders of these shares are entitled to dividends as declared from time to time and are entitled to one vote per share at general meetings of the Company. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity, net of any tax effects.

Foreign exchange gains and losses

For financial liabilities that are denominated in a foreign currency and are measured at amortised cost at the end of each reporting period, the foreign exchange gains and losses are determined based on the amortised cost of the instruments. These foreign exchange gains and losses are recognised in profit or loss for financial liabilities that are not part of a designated hedging relationship.

The fair value of financial liabilities denominated in a foreign currency is determined in that foreign currency and translated at the spot rate at the end of the reporting period.

Notes to the consolidated and separate financial statements

2.15.2 Financial liabilities (Continued)

Derecognition of financial liabilities

The Group derecognises financial liabilities when, and only when, the Group's obligations are discharged, cancelled or have expired. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in profit or loss.

When the Group exchanges with the existing lender one debt instrument into another one with substantially different terms, such exchange is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. Similarly, the Group accounts for substantial modification of terms of an existing liability or part of it as an extinguishment of the original financial liability and the recognition of a new liability.

It is assumed that the terms are substantially different if the discounted present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective rate is at least 10 per cent different from the discounted present value of the remaining cash flows of the original financial liability. If the modification is not substantial, the difference between: (1) the carrying amount of the liability before the modification; and (2) the present value of the cash flows after modification should be recognised in profit or loss as the modification gain or loss within other gains and losses.

2.15.3 Offsetting Financial instruments

Financial assets and liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group has a legal right to offset the amounts and intends either to settle on a net basis or to realise the asset and settle the liability simultaneously.

2.16 Inventories

Inventories are stated at the lower of cost and estimated net realisable value. The cost of inventories includes expenditure incurred in acquiring the inventories, production or conversion costs and other costs incurred in bringing them to their existing location and condition. The basis for valuation is as follows:

Raw materials, non-returnable packaging materials and consumable spare parts	-	purchase cost on a weighted average basis including transportation and applicable clearing charges
Finished products and products-in-process	-	weighted average cost of direct materials, labour costs and a proportion of production overheads based on normal operating Capacity
Inventory-in-transit	-	purchase cost incurred to date

Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs to completion and selling expenses. Inventory values are adjusted for obsolete, slow-moving or defective items.

2.17 Provisions

Provisions are recognised when the group has a present legal or constructive obligation as a result of a past event, and it is probable that the Group will be required to settle that obligation and the amount has been reliably estimated. Provisions for restructuring costs are recognised when the Group has a detailed formal plan for the restructuring that has been communicated to affected parties. Provisions are not recognised for future operating losses.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation.

When some or all of the economic benefits required to settle a provision are expected to be recovered from a third party, a receivable is recognised as an asset if it is virtually certain that reimbursement will be received and the amount of the receivable can be measured reliably.

2.18 Dividend distribution

Dividend distribution to the company's shareholders is recognised as a liability in the Group's financial statements in the period in which the dividends are approved by the Group's shareholders. Dividends which remained unclaimed for a period exceeding twelve (12) years from the date of declaration and which are no longer actionable by shareholders in accordance with Section 385 of Companies and Allied Matters Act of Nigeria are written back to retained earnings. Section 432(3) of the Companies and Allied Matters Act (CAMA) as amended by Finance Act 2020, stipulates that dividends of a public limited liability company quoted on the Nigerian Stock Exchange which has remained unclaimed for a period of six years or more from the date of declaring the dividend shall be immediately transferred to the Unclaimed Funds Trust Fund as managed by the Debt Management Office (DMO).

Notes to the consolidated and separate financial statements

2.19 Recognition and measurement of investments in subsidiary in separate financial statements of the company

Investments in subsidiaries are carried at cost less accumulated impairment losses in the Company's statement of financial position. On disposal of investments in subsidiaries, the difference between disposal proceeds and the carrying amounts of the investments is recognised in profit or loss.

2.20 Deposits for letters of credit

Deposits for letters of credit represents Naira deposits for purchase of foreign currencies purchased to fund letters of credit, forwards and futures for settlement of vendors of all imported raw materials, spare parts and machinery.

Deposit for letters of credit is measured at fair value.

2.21 Intangible asset

Software acquired is recognized at acquisition cost less accumulated amortisation and any accumulated impairment losses. Subsequent expenditures are capitalised only when it increases the future economic benefits of the related software. Software maintenance costs are recognized as expenses in the income statement as they are incurred. Amortisation is recognized in income statement on a straight-line basis over the estimated useful life of the software, from the first day of the first full financial year the software is put into use.

An intangible asset is derecognised on disposal, or when no future economic benefits are expected from use or disposal. Gains or losses arising from derecognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset, is recognised in profit or loss when the asset is derecognised.

Software is amortised over a period of 10 years in line with the estimated life of the intangible asset.

2.21.1 Impairment of tangible and intangible assets other than goodwill

At the end of each reporting period, the Group reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). When it is not possible to estimate the recoverable amount of an individual asset, the Group estimates the recoverable amount of the cash-generating unit to which the asset belongs. When a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual cash-generating units, or otherwise they are allocated to the smallest group of cash-generating units for which a reasonable and consistent allocation basis can be identified.

Intangible assets with indefinite useful life and intangible assets not yet available for use are tested for impairment at least annually, and whenever there is an indication that the asset may be impaired.

Recoverable amount is the higher of fair value less costs of disposal and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

When an impairment loss subsequently reverses, the carrying amount of the asset (or a cash-generating unit) is increased to the revised estimate of its recoverable amount, so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

2.21.2 Derecognition of intangible assets

An intangible asset is derecognised on disposal, or when no future economic benefits are expected from use or disposal. Gain or loss arising from derecognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset, is recognised in profit or loss when the asset is derecognised.

2.22 Earnings per share (EPS)

The Group presents basic and diluted earnings per share data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Group by the weighted average number of ordinary shares outstanding during the period, adjusted for own shares held.

Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the period, adjusted for own shares held and for the effects of all dilutive potential ordinary shares.

Notes to the consolidated and separate financial statements

2.23 Government grants

Government grants are not recognised until there is reasonable assurance that the Group will comply with the conditions attached to them and that the grants will be received. Government grant relates to export credit certificate earned as a beneficiary of the Export Expansion Grant (EEG) Scheme.

This is initially recognised when the Group has received the Export Credit Certificates (ECC) from the government. The Group recognises EEG as contingent assets when the criteria for submission of the claim is met and necessary application filed. Information on EEG estimated to be receivable from the government is disclosed in Note 32.

Government grants that are receivable as compensation for expenses or losses already incurred or for the purpose of giving immediate financial support to the Group with no future related costs are recognised in profit or loss in the period in which the certificates are received.

Export Expansion Grant ("the grant") from the government is recognised as contingent assets when there is a reasonable assurance that the grant will be received and the group has complied with all attached conditions. The following are the conditions precedent:

- The Company must be registered with the Corporate Affairs Commission (CAC) and the Nigerian Export Promotion Council (NEPC).
- The Company must have a minimum annual export turnover of N5 million and evidence of repatriation of proceeds of exports.
- The Company shall submit its baseline data which includes audited Financial Statement and information on operational capacity to NEPC.
- The Company shall be a manufacturer, producer or merchant of products of Nigerian origin for the export market (i.e. the products must be made in Nigeria).
- Qualifying export transaction must have the proceeds fully repatriated within 300 days, calculated from the date of export and as approved by the EEG Implementation Committee.

2.24 Related parties

Related parties include the holding company and other group entities. Directors, their close family members and any employee who is able to exert a significant influence on the operating policies of the Group are also considered to be related parties. Key management personnel are also regarded as related parties. Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any Director (whether executive or otherwise) of that entity.

In the application of the Group's accounting policies, which are described above, the Directors are required to make judgements (other than those involving estimations) that have a significant impact on the amounts recognised and to make estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

2.25 Critical accounting judgements and key sources of estimation uncertainty

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods.

Critical judgements in the applications of the Group's accounting policies

The critical judgements that the Directors have applied in the application of the Group's accounting policies and that have the most significant effect on the amounts recognised in financial statements are presented below.

2.25.1 Useful life of property, plant and equipment (PPE)

Property, Plant and Equipment are depreciated over their useful life. The Group estimates the useful life of PPE based on the period over which the assets are expected to be available for use. The estimation of the useful life of PPE are based on technical evaluations carried out by the staff with knowledge of the machines and experience with similar assets. Estimates could change if expectations differ due to physical wear and tear and technical or commercial obsolescence. It is possible, however, that future results of operations could be materially affected by changes in the estimates brought about by changes in factors mentioned above. The amounts and timing of expenses for any period would be affected by changes in these factors and circumstances. A reduction in the estimated useful life of the plant and machinery would increase expenses and decrease the value of non-current assets.

Notes to the consolidated and separate financial statements

2.25.2 Taxation provisions

The Group's tax provision relates to management's assessment of the amount payable on open tax audits where the liabilities are yet to be agreed with the tax authorities. This arose mainly from the interpretation of tax legislation regarding arrangements entered into by the Group. Due to uncertainty associated with such tax items, there is the possibility that, on conclusion of open tax matters at a future date, the final outcome may differ significantly. Whilst a range of outcomes is reasonably possible, the extent of the reasonably possible range have been recognized in the financial statements.

2.25.3 Property lease classification - Company as lessor:

The Company has leased one of its factory building to earn rental income. The Company has determined, based on an evaluation of the terms and conditions of the arrangement, such as the lease term not constituting a major part of the economic life of the factory building and the present value of the minimum lease payments not amounting to substantially all of the fair value of the factory building, that it retains substantially all of the risks and rewards incidental to ownership of this factory building and accounts for the contract as operating leases.

2.25.4 Warranty provisions

Provision for products warranty is made at the time of revenue recognition and they are reviewed and adjusted periodically to reflect actual and anticipated experience. The estimation of provision at each period end requires involvement of staff with product knowledge and the estimate could change if there are changes in factors considered during the formulation of the required provision. The replacement cost of items and historical defects, are used to determine a rate which is applied against quantity sold during the year.

2.25.5 Provision for expected credit losses of trade receivables

The Group uses a provision matrix to calculate ECLs for trade receivables and contract assets. The provision rates are based on days past due for groupings of various customer segments that have similar loss patterns (i.e., by geography, product type, customer type and rating, and coverage by letters of credit and other forms of credit insurance).

The provision matrix is initially based on the Group's historical observed default rates. The Group will calibrate the matrix to adjust the historical credit loss experience with forward-looking information. For instance, if forecast economic conditions (i.e., gross domestic product) are expected to deteriorate over the next year which can lead to an increased number of defaults in the manufacturing sector, the historical default rates are adjusted. At every reporting date, the historical observed default rates are updated and changes in the forward-looking estimates are analysed.

The assessment of the correlation between historical observed default rates, forecast economic conditions and ECL is a significant estimate. The amount of ECL is sensitive to changes in circumstances and of forecast economic conditions. The Group's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future. The information about the ECL on the Group's trade receivables and contract assets is disclosed in the financial statements.

2.25.6 Inventory provisions

The Group uses the following methodologies in provisioning for inventory allowance.

Provision type	Level of provision required
● Obsolete inventory	100%
● Unusable inventory	100%
● Slow moving inventory	50% of the excess
● Net Realisable Value (NRV)	100%

Notes to the consolidated and separate financial statements

2.25.6 Inventory provisions (Cont'd)

Obsolete inventory are SKUs with no movement (raw material) or no sales (finished goods) in the last twelve months. Unusable inventory are items that are damaged or past sell-by date or outside of current sales plan and require disposal. This would also include stock that is quarantined for quality control purposes. Slow Moving inventory are SKUs that have value more than one year cost of sales value, either prior year or budget for that SKU line for finished goods or more than one year material usage from either prior year or budget for raw materials. Excess is calculated as stock line value minus prior year/expected future year sales/usage. NRV is when Net Realisable Value (NRV) of a finished good SKU line net of discounts and promotional costs is less than balance sheet value (at full cost).

New SKU lines that have been manufactured or purchased in last six months are not subject to above provisioning requirements. In all above cases judgement may be used if management believe that a provision is not justified based on an assessment of the ability to use/sell the inventory item.

Sundry Stocks are consumables, fuel oil and machinery spares. These are reviewed quarterly and items that are not moving are provided for based on management's judgement of future expected use. Machinery spares are generally a significant part of sundry stocks. As these items may be emergency spares and remain unused for many years, a provision may be necessary to ensure that the net balance sheet value is not overstated.

2.25.7 Deferred Tax

Deferred tax is provided using the liability method on temporary differences at the reporting date between the tax base of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date. The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current income tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

2.26 Contingencies

A contingent asset is a possible asset that arises from past events, and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Group.

A contingent asset is disclosed in the notes to the financial statements where an inflow of economic benefits is probable. Contingent assets are assessed continually to ensure that developments are appropriately reflected in the financial statements. If it has become virtually certain that an inflow of economic benefits will arise, the asset and the related income are recognized in the financial statements of the period in which the change occurs.

Contingent asset are not recognized in the financial statements since this may result in the recognition of income that may never be realized. However, when the realization of income is virtually certain, then the related asset is not a contingent asset and its recognition is appropriate. The contingent assets of the Group is disclosed in Note 32 of the financial statements.

A contingent liability is a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company, or a present obligation that arises from past events but is not recognized because it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or the amount of the obligation cannot be measured with sufficient reliability.

Contingent liabilities are not recognised in the consolidated statement of financial position but are disclosed. If the possibility of outflow in settlement is remote the possible obligation is not a contingent liabilities and no disclosure is made. The contingent liabilities of the Group are disclosed in Note 32 of the financial statements.

Notes to the consolidated and separate financial statements

2.27 Investment property

On acquisition, investment property is initially recognised at cost, or deemed cost where no monetary consideration is exchanged. Investment property is subsequently recognised in the accounts at cost and recognised as a separate line item outside property plant and equipment. Gains or losses on disposal are recognised within profit and loss. Depreciation is charged on the basis of useful life of the property.

2.28 Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability; or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The Group engages the services of expert valuers subject to the review of the Management. Then the Management assesses the evidence obtained from the expert valuers to support the conclusion that these valuations meet the requirements of IFRS, including the level in the fair value hierarchy in which the valuations should be classified.

Fair Value Hierarchy

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

Level 1 – Quoted (unadjusted) market prices in active markets for identical assets or liabilities.

Level 2 – Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.

Level 3 – Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

The Group recognizes transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

2.29 Assets held for sale

Non-current assets and groups of assets and liabilities which comprise disposal groups are classified as 'held for sale' when their carrying amount will be recoverable principally through a sale transaction rather than through continuing use. In order to be classified as a 'held for sale' asset or disposal group, the sale must be highly probable and the assets must be available for sale immediately in their present condition. In addition all of the following criteria must also be met: management is committed to the plan to sell; the assets are being actively marketed; actions required to complete the plan should indicate that it is unlikely that significant changes to the plan will be made or that the plan will be withdrawn; and a sale has been agreed or is expected to be concluded within 12 months of the balance sheet date.

Prior to classification as held for sale, the value of the assets or Groups of assets is re-measured in accordance with the requirements of IFRS 5. Subsequently, assets and disposal groups classified as held for sale are measured at the lower of book value or fair value less disposal costs. Assets held for sale are neither depreciated nor amortised.

Notes to the consolidated and separate financial statements

3 Financial risk management

The Group and company's operations expose it to a variety of financial risks that include the effects of changes in market risk (i.e interest rate risk, commodity, price risk and foreign exchange risk), credit risk and liquidity risk.

The Group's treasury function reports to the Board at least annually with reference to the application of the Group Treasury Policy. The policy addresses issues of liquidity, funding and investment as well as interest rate, currency and commodity risks.

The Group's risk management policies are designed to identify and analyse these risks, to set appropriate risk limits and controls and to monitor the risks and limits continually by means of reliable and up-to-date systems. The Group modifies and enhances its risk management policies and systems to reflect changes in markets and products. The Board Audit and Risk Committee, under authority delegated by the Board, formulates the high-level Group risk management policy, monitors risk and receives reports that allow it to review the effectiveness of the Group's risk management policies.

The Audit Committees (i.e Statutory Audit Committee and Board Audit and Risk Committee) are assisted in their oversight role by Internal Audit. Internal Audit undertakes both regular and ad hoc reviews of risk management controls and procedures, the results of which are reported to both Senior Management and the Audit Committees.

3.1 Credit risk

Credit risk is the risk that financial loss arises from the failure of a customer or counterparty to meet its obligations under a contract. It arises principally from trading activities with customers. The Group has dedicated standards, policies and procedures to control and monitor all such risks. Although the Group is potentially exposed to credit loss in the event of non-performance by counterparties holding the group's cash and cash equivalents, such credit risk is controlled through credit rating and equity price reviews of the counterparties and by limiting the total amount of exposure to any one party. Equity price reviews of counterparties is done through the monitoring of the share price of the counterparties on the floor of the stock exchange.

The credit risk of customers is assessed at subsidiary and Group level, taking into account their financial positions, past experiences and other factors. Individual customer credit limit is imposed based on these factors. Customers are initially brought on board on a cash basis for a period of six months. At the expiration of the six months cash trading period, customers are free to apply for credit.

The Group is not exposed to any material concentrations of credit risk.

The table below analyses the company's and Group's financial assets into relevant maturity groupings as at the reporting date.

Company

31 May 2026

Financial assets: <i>In thousands of Naira</i>	Neither past due nor impaired	Up to 90 days	91 - 365 days	Over 365 days	Total
Cash and cash equivalents (Note 16)	38,159,618	-	-	-	38,159,618
Trade receivables (Note 12)	7,142,417	2,072,257	74,038	-	9,288,712
Due from related party companies (Note 34.2)	8,271,092	-	-	-	8,271,092
Other receivables (Note 12)	7,514,593	-	-	-	7,514,593
Loan receivables (Note 13)	3,000,000	-	-	-	3,000,000
Deposit for imports (Note 15)	356,415	-	-	-	356,415
Lease receivables (Note 12.5)	-	-	418,412	2,077,144	2,495,556
Total	64,444,135	2,072,257	492,450	2,077,144	69,085,986

31 May 2025

Financial assets: <i>In thousands of Naira</i>	Neither past due nor impaired	Up to 90 days	91 - 365 days	Over 365 days	Total
Cash and cash equivalents (Note 16)	38,166,207	-	-	-	38,166,207
Trade receivables (Note 12)	4,166,040	494,604	11,342	-	4,671,986
Due from related party companies (Note 34.2)	12,698,900	-	-	-	12,698,900
Other receivables (Note 12)	2,217,399	-	-	-	2,217,399
Loan receivables (Note 13)	3,263,234	-	-	-	3,263,234
Deposit for imports (Note 15)	10,913,889	-	-	-	10,913,889
Deliverable forwards (Note 24)	5,188	-	-	-	5,188
Lease receivables (Note 12.5)	-	-	-	2,540,788	2,540,788
Total	71,430,857	494,604	11,342	2,540,788	74,477,591

Notes to the consolidated and separate financial statements

3.1 Credit risk (Continued)

Group

31 May 2026

Financial assets:	Neither past due nor impaired	Up to 90 days	91 - 365 days	Over 365 days	Total
<i>In thousands of Naira</i>					
Cash and cash equivalents (Note 16)	40,762,517	-	-	-	40,762,517
Trade receivables (Note 12)	10,521,978	2,459,010	75,023	-	13,056,011
Due from related party companies (Note 34.2)	2,275,700	-	-	-	2,275,700
Other receivables (Note 12)	8,109,171	-	-	-	8,109,171
Deposit for imports (Note 15)	356,415	-	-	-	356,415
Lease receivables (Note 12.5)	-	-	418,412	2,077,144	2,495,556
Total	62,025,781	2,459,010	493,435	2,077,144	67,055,370

31 May 2025

Financial assets:	Neither past due nor impaired	Up to 90 days	91 - 365 days	Over 365 days	Total
<i>In thousands of Naira</i>					
Cash and cash equivalents (Note 16)	40,659,864	-	-	-	40,659,864
Trade receivables (Note 12)	6,162,487	681,330	41,550	-	6,885,367
Due from related party companies (Note 34.2)	1,502,793	-	-	-	1,502,793
Other receivables (Note 12)	2,725,655	-	-	-	2,725,655
Deposit for imports (Note 15)	10,920,180	-	-	-	10,920,180
Deliverable forwards (Note 24)	63,088	-	-	-	63,088
Lease receivables (Note 12.5)	-	-	-	2,540,788	2,540,788
Total	62,034,067	681,330	41,550	2,540,788	65,297,735

For details related to the allowance for impairment refer to Note 12.

An analysis of the international long term credit ratings by Fitch of counterparties where cash and cash equivalents are held is as follows:

In thousands of Naira

Credit rating

A+

B

Company	
2026	2025
2,317,538	-
35,842,080	38,166,207
38,159,618	38,166,207

A+

B

Group	
2026	2025
2,317,537	-
38,444,980	40,659,864
40,762,517	40,659,864

A: A financial institution strong financial condition with a high degree financial capacity to meet its obligations as and when they fall due. The institution demonstrates sound operating performance, strong liquidity and capital adequacy, and effective risk management practices. While it may be exposed to adverse changes in the business, macro-economic, political or regulatory environment, such factors are unlikely to significantly impair its ability to meet financial commitments. The Stable outlook indicates that the rating is expected to remain unchanged over the medium term.

A plus (+) added to a rating indicates that the rating may be raised. A minus means that the rating may be lowered. When no plus or minus is added to the rating, this means that the rating is unlikely to change. A positive or negative added to a rating is therefore a reflection the rating outlook.

B: The obligor currently has the capacity to meet its financial commitments on the obligation. Adverse business, financial, or economic conditions will likely impair the obligor's capacity or willingness to meet its financial commitments on the obligation. An obligor refers to an individual, company, or entity that has a legal obligation to repay a debt or fulfill a financial commitment.

3.2 Liquidity risk

Liquidity risk is the risk that the Group will not be able to meet its financial obligations as they fall due. The Group maintains a strong liquidity position and manages the liquidity profile of its assets, liabilities and commitments so that cash flows are appropriately balanced and all funding obligations are met when due.

Notes to the consolidated and separate financial statements

3.2 Liquidity risk (Continued)

There is a central treasury that coordinates cash flows management and funding activities. Cash surplus to immediate requirements is placed in interest yielding short term deposit accounts in banks with good credit rating.

The Group enjoys favorable 45 days of credit from its suppliers as against 30 days of credit it gives to its customers. Thus, the group is always at an advantage position to meet its obligations because funding is quickly available from credits extended to its customers than the timing it requires to settle its obligations.

Included in the Group's trade and other payables as at the 31 May 2026 and 31 May 2025 are balances due to related parties of N43.8 billion and N80.3 billion respectively while that of the company is N30.3 billion and N64.6 billion respectively.

The table below analyses the Group and company's financial liabilities into relevant maturity groupings as at the reporting date:

Company

31 May 2026

In thousands of Naira

Financial liabilities:	Up to 90 days	90 to 180 days	180 to 365 days	Above 365 days	Total
Trade and other payables - excluding accruals and amount owed to related parties (Note 23)	4,146,516	564,320	-	-	4,710,836
Amount owed to related party (Note 23)	11,390,484	-	18,862,144	-	30,252,628
Contract liabilities (Note 19)	641,215	-	-	-	641,215
	16,178,215	564,320	18,862,144	-	35,604,679

31 May 2025

In thousands of Naira

Financial liabilities:	Up to 90 days	90 to 180 days	180 to 365 days	Above 365 days	Total
Trade and other payables - excluding accruals and amount owed to related parties (Note 23)	7,976,963	1,085,625	-	-	9,062,588
Borrowings (Note 25)	-	-	63,867,620	-	63,867,620
Lease liability (Note 8)	-	-	1,321	-	1,321
Amount owed to related party (Note 23)	24,338,508	-	40,303,506	-	64,642,014
Contract liabilities (Note 19)	1,186,496	-	-	-	1,186,496
	33,501,967	1,085,625	104,172,447	-	138,760,039

Group

31 May 2026

In thousands of Naira

Financial liabilities:	Up to 90 days	90 to 180 days	180 to 365 days	Above 365 days	Total
Trade and other payables - excluding accruals and amount owed to related parties (Note 23)	4,528,274	1,095,819	-	-	5,624,093
Amount owed to related party (Note 23)	24,685,545	-	19,091,955	-	43,777,500
Borrowings (Note 25)	-	-	5,900,000	-	5,900,000
Contract liabilities (Note 19)	1,631,033	-	-	-	1,631,033
Warranty provisions (Note 22)	-	-	142,956	562,179	705,135
	30,844,852	1,095,819	25,134,911	562,179	57,637,761

31 May 2025

In thousands of Naira

Financial liabilities:	Up to 90 days	90 to 180 days	180 to 365 days	Above 365 days	Total
Trade and other payables - excluding accruals and amount owed to related parties (Note 23)	5,332,181	621,906	4,287,093	-	10,241,180
Amount owed to related party (Note 23)	41,789,630	4,874,028	33,599,017	-	80,262,675
Borrowings (Note 25)	-	-	71,267,620	-	71,267,620
Lease liability (Note 8)	-	-	11,516	-	11,516
Contract liabilities (Note 19)	2,394,584	-	-	-	2,394,584
Warranty provisions (Note 22)	-	-	113,184	495,545	608,729
	49,516,395	5,495,934	109,278,430	495,545	164,786,304

3.3 Fair value of financial assets and liabilities

All the Group's financial assets and liabilities are measured at amortised cost and due to the short term nature of these financial instruments, the fair value reasonably approximates the carrying value in the statement of financial position.

3.4 Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and equity prices will affect the income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing return.

Notes to the consolidated and separate financial statements

3.4.1 Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Company is exposed to interest rate risks as it holds variable interest-bearing financial liabilities as at year end.

The following table details the sensitivity to a 1- 2% (2025: 1 - 2%) increase or decrease in interest rates.

In thousands of Naira

	Group 2026	2025	Company 2026	2025
Interest earned from related parties (Note 35)	-	-	375,209	572,452
Interest earned on placement of unclaimed dividend (Note 35)	54,118	235,361	54,118	235,361
Interest earned from banks (Note 35)	1,170,326	1,135,422	1,015,905	963,484
Interest paid to related parties (Note 35)	(965,411)	(843,018)	-	(723)
Interest paid to banks and third parties (Note 35)	(25)	(2,789,743)	-	(45,771)
Net interest income/(expense)	259,008	(2,261,978)	1,445,232	1,724,803
Variable interest rate for the year(%)	12%	6%	12%	6%
<i>In thousands of Naira</i>				
	Group 2026	2025	Company 2026	2025
Impact of 1% increase in variable interest rate	2,590	(188,498)	14,452	143,734
Impact of 1% decrease in variable interest rate	(2,590)	188,498	(14,452)	(143,734)
Impact of 2% increase in variable interest rate	5,180	(376,996)	28,905	287,467
Impact of 2% decrease in variable interest rate	(5,180)	376,996	(28,905)	(287,467)

3.4.2 Foreign exchange risk

The Group's activities expose it to the financial risks arising from changes in foreign currency exchange rates. Subsidiary undertakings ensure that all transactional exposures arising from commitments in a currency other than their functional currency are identified and monitored. The group is primarily exposed to the US dollar. Increase/decrease in foreign exchange rate at the reporting dates would have increased/decreased profit or loss and total equity by the following amounts(See rates percentage of 15%, 30%, 50% and 100% below). This analysis is based on foreign currency exchange rate variances that the group considered to be reasonably possible at the end of the reporting period. The analysis assumes that all other variables remains constant.

The carrying amounts of the Group's foreign currency denominated monetary assets and monetary liabilities at the reporting date are as follows:

	Group Liabilities 2026	2025	Company Liabilities 2026	2025
Foreign Currency (\$'000)	(23,206)	(83,709)	(13,375)	(73,424)
	Assets 2026	2025	Assets 2026	2025
Foreign Currency (\$'000)	9,376	16,064	9,050	15,888
	Group - Net position 2026	2025	Company - Net position 2026	2025
Foreign Currency (\$'000)	(13,830)	(67,644)	(4,325)	(57,536)
Closing foreign exchange rates (Naira/Dollar)	1,373	1,586	1,373	1,586
Average foreign exchange rates (Naira/Dollar)	1,447	1,565	1,447	1,565

Sensitivity analysis is due to possible changes in exchange rate of foreign currency denominated balances on intercompany payables, cash and bank and trade receivables.

In the Executive Management's opinion, the sensitivity analysis is unrepresentative of the inherent foreign exchange risk as the year end exposure does not reflect the exposure during the year.

Notes to the consolidated and separate financial statements

3.4.2 Foreign exchange risk (Continued)

	Group - Net position		Company - Net position	
	2026	2025	2026	2025
<i>In thousands of Naira</i>				
US dollar - 10% increase	(1,899,250)	(10,729,717)	(593,929)	(9,126,329)
US dollar - 10% decrease	1,899,250	10,729,717	593,929	9,126,329
US dollar - 15% increase	(2,848,875)	(16,094,575)	(890,893)	(13,689,494)
US dollar - 15% decrease	2,848,875	16,094,575	890,893	13,689,494
US dollar - 20% increase	(3,798,500)	(21,459,433)	(1,187,857)	(18,252,658)
US dollar - 20% decrease	3,798,500	21,459,433	1,187,857	18,252,658
US dollar - 30% increase	(5,697,750)	(32,189,150)	(1,781,786)	(27,378,987)
US dollar - 30% decrease	5,697,750	32,189,150	1,781,786	27,378,987
US dollar - 50% increase	(9,496,251)	(53,648,583)	(2,969,643)	(45,631,645)
US dollar - 50% decrease	9,496,251	53,648,583	2,969,643	45,631,645

The foreign exchange risk is mainly from foreign currency denominated bank balances, account receivable, related parties payable and receivable balances with foreign related parties.

3.5 Commodity pricing risk

Commodity risk is the risk that changes in underlying raw material prices have an adverse impact on the Group's financial performance. The Group's policy is to minimise the pricing volatility accompanied by unfavourable changes in commodity prices by entering into fixed price supplier contracts in line with its commercial strategy. The Group does not enter into any commodity derivatives.

3.6 Capital risk management

The Group manages its capital to ensure that entities in the Group will be able to continue as going concern while maximising the return to shareholders through the optimisation of the debt and equity balance. The Group's overall strategy remains unchanged from 2025.

The capital structure of the Group consists of Net debt (Intercompany loans, less cash and bank balances) and the equity of the Group (comprising issued capital, reserves, retained earnings and non-controlling interests).

The Group's risk management committee reviews the capital structure on a semi-annual basis. As part of this review, the committee considers the cost of capital and the risks associated with each class of capital.

Gearing ratio

The gearing ratio at the year-end is as follows:

	Group		Company	
	2026	2025	2026	2025
<i>In thousands of Naira</i>				
Borrowings (Note 25)	(5,900,000)	(71,267,620)	-	(63,867,620)
Cash and cash equivalents (Note 16)	40,762,517	40,659,864	38,159,618	38,166,207
Net cash/(debt)	34,862,517	(30,607,756)	38,159,618	(25,701,413)
Equity	(66,361,816)	15,615,580	(65,913,871)	10,048,924
Net debt to equity ratio	(0.53)	(1.96)	(0.58)	(2.56)

Based on the above analysis, it can be ascertained that the group and company are not highly geared for the current year.

The Group's objectives when managing capital is to safeguard the group's ability to continue as a going concern in order to provide returns for shareholders and benefits for other stakeholders and to maintain an optimal capital structure to reduce the cost of capital.

In order to maintain or adjust the capital structure, the Group may adjust the amount of dividends paid to shareholders, return capital to shareholders, issue new shares or sell assets.

Notes to the consolidated and separate financial statements

4 Property, plant and equipment
Group - 2026

<i>In thousands of naira</i>	Leasehold Land and Buildings	Plant and Machinery	Furniture, Fittings and IT equipment	Motor Vehicles	Capital Work in Progress (WIP)	Total
Cost						
At 1 June, 2025	12,007,884	27,616,280	4,875,422	1,118,231	1,925,276	47,543,093
Additions	-	-	-	-	5,070,345	5,070,345
Transfer	701,715	3,409,111	365,306	1,077,876	(5,554,008)	-
Disposal	(76,048)	(84,887)	(4,539)	-	-	(165,474)
At 31 May, 2026	12,633,551	30,940,504	5,236,189	2,196,107	1,441,613	52,447,964
Depreciation						
At 1 June, 2025	3,686,938	21,728,915	3,769,449	294,437	-	29,479,739
Charge for the year	341,679	1,337,700	391,004	383,863	-	2,454,246
Impairments*	-	264,501	-	-	-	264,501
Disposal	(27,546)	(84,887)	(4,362)	-	-	(116,795)
At 31 May, 2026	4,001,071	23,246,229	4,156,091	678,300	-	32,081,691
Cost						
At 1 June, 2024	11,662,100	26,135,202	4,044,366	491,575	389,072	42,722,315
Additions	-	-	-	-	4,992,405	4,992,405
Transfer	375,418	1,607,193	846,935	626,655	(3,456,201)	-
Reclassification	(970)	965	5	1	-	1
Reclassification to assets held for sale (Note 5)	(28,664)	-	-	-	-	(28,664)
Disposal	-	(127,080)	(15,884)	-	-	(142,964)
At 31 May, 2025	12,007,884	27,616,280	4,875,422	1,118,231	1,925,276	47,543,093
Depreciation						
At 1 June, 2024	3,455,812	20,605,052	3,550,009	134,658	-	27,745,531
Charge for the year	241,651	1,096,500	235,127	159,779	-	1,733,057
Reclassification to assets held for sale (Note 5)	(12,039)	-	-	-	-	(12,039)
Impairments*	1,514	154,443	(49)	-	-	155,908
Disposal	-	(127,080)	(15,638)	-	-	(142,718)
At 31 May, 2025	3,686,938	21,728,915	3,769,449	294,437	-	29,479,739
Carrying amounts						
At 31 May, 2026	8,632,480	7,694,275	1,080,098	1,517,807	1,441,613	20,366,273
At 31 May 2025	8,320,946	5,887,365	1,105,973	823,794	1,925,276	18,063,354

Depreciation and impairment expense of N1.36 billion (2025: N1.03 billion) has been charged in cost of sales, N0.64 billion (2025: N0.38 billion) in selling and distribution expenses and N0.72 billion (2025: N0.29 billion) in administrative expenses.

Capital work in progress mainly comprise of new factory lines and plant enhancements.

There was no capitalised borrowing cost during the years ended 31 May 2026 and 31 May 2025.

*Impairment relates to factory plants and machinery that are obsolete.

There were no assets pledged as security for borrowing during the year (2025: nil).

Capital commitments

Below represents capital commitments for the acquisition of property, plant and equipment not provided for in the financial statements:

<i>In thousands of naira</i>	Group	
	2026	2025
Authorised and contracted	74,599	962,311
Authorised but not contracted	390,756	15,233
	465,355	977,544

Notes to the consolidated and separate financial statements

4 Property, plant and equipment (Continued)
Company - 2026

<i>In thousands of naira</i>	Leasehold Land and Buildings	Plant and Machinery	Furniture, Fittings and IT equipment	Motor vehicles	Capital Work in Progress (WIP)	Total
Cost						
At 1 June, 2025	10,836,017	25,721,497	4,343,335	776,638	1,925,276	43,602,763
Additions	-	-	-	-	4,281,813	4,281,813
Transfers	656,144	2,975,277	427,064	778,374	(4,836,859)	-
Disposal	(76,048)	-	(4,539)	-	-	(80,587)
At 31 May, 2026	11,416,113	28,696,774	4,765,860	1,555,012	1,370,230	47,803,989
Depreciation						
At 1 June, 2025	3,514,321	20,220,387	3,449,073	206,744	-	27,390,525
Charge for the year	313,513	1,241,484	344,756	274,279	-	2,174,032
Impairments*	-	264,501	-	-	-	264,501
Disposals	(27,546)	-	(4,362)	-	-	(31,908)
At 31 May, 2026	3,800,288	21,726,372	3,789,467	481,023	-	29,797,150
Cost						
At 1 June, 2024	10,489,266	24,283,182	3,683,671	357,784	389,071	39,202,974
Additions	-	-	-	-	4,441,093	4,441,093
Transfers	375,415	1,438,315	672,304	418,854	(2,904,888)	-
Reclassification to assets held for sale (Note 5)	(28,664)	-	-	-	-	(28,664)
Disposal	-	-	(12,640)	-	-	(12,640)
At 31 May, 2025	10,836,017	25,721,497	4,343,335	776,638	1,925,276	43,602,763
Depreciation						
At 1 June, 2024	3,311,252	19,085,234	3,252,631	81,784	-	25,730,901
Charge for the year	213,594	992,662	207,481	124,960	-	1,538,697
Reclassification to assets held for sale (Note 5)	(12,039)	-	-	-	-	(12,039)
Impairments*	1,514	142,491	(49)	-	-	143,956
Disposals	-	-	(10,990)	-	-	(10,990)
At 31 May, 2025	3,514,321	20,220,387	3,449,073	206,744	-	27,390,525
At 31 May, 2026	7,615,825	6,970,402	976,393	1,073,989	1,370,230	18,006,839
At 31 May 2025	7,321,696	5,501,110	894,262	569,894	1,925,276	16,212,238

Depreciation and impairment expense of N1.24 billion (2025: N1.03 billion) has been charged in 'cost of sales', N0.50billion (2025: N0.38 billion) in 'selling and distribution expenses' and N0.70 billion (2025: N0.29 billion) in 'administrative expenses'.

Capital work in progress mainly comprise of new factory lines and plant enhancements.

There was no capitalised borrowing cost during the years ended 31 May 2026 and 31 May 2025.

*Impairment relates to factory plants and machinery that are obsolete.

There were no assets pledged as security for borrowing during the period (2025: nil).

Capital commitments

Below represents capital commitments for the acquisition of property, plant and equipment not provided for in the financial statements:

<i>In thousands of naira</i>	Company	
	2026	2025
Authorised and contracted	74,599	666,963
Authorised but not contracted	-	15,233
	74,599	682,196

Notes to the consolidated and separate financial statements

5 Asset held for sale
In thousands of naira

	Group		Company	
	2026	2025	2026	2025
Cost				
Opening balance	1,013,414	-	1,013,414	-
Transfer from property, plant and equipment (Note 4)	-	16,625	-	16,625
Transfers from investment property (Note 6)	-	996,789	-	996,789
Disposal	(272,870)	-	(272,870)	-
At 31 May	740,544	1,013,414	740,544	1,013,414

Management has committed to a plan to sell some non-core depot facilities across the country. Accordingly, these properties have been reclassified and presented as 'Asset held for sales' at a carrying amount of N740.5 million (2025: N1,013.4 million). These properties relate to home and personal care segment of the Group. The sales are expected to be concluded within the next 12 months. The carrying value of the transfers from property, plant and equipment and investment property is presented on a net basis (i.e cost less accumulated depreciation).

6 Investment property
In thousands of naira

	2026	
	Group	Company
Cost		
At 1 June, 2025	1,490,371	1,490,371
At 31 May, 2026	1,490,371	1,490,371
Accumulated Depreciation		
At 1 June, 2025	610,657	610,657
Depreciation for the year	28,614	28,614
At 31 May, 2026	639,271	639,271
Carrying amounts		
At 31 May, 2026	851,100	851,100

	2025	
	Group	Company
Cost		
At 1 June, 2024	3,099,171	3,099,171
Transfers to assets held for sale (Note 5)	(1,608,800)	(1,608,800)
At 31 May, 2025	1,490,371	1,490,371
Accumulated Depreciation		
At 1 June, 2024	1,162,240	1,162,240
Depreciation for the year	60,428	60,428
Transfers to assets held for sale (Note 5)	(612,011)	(612,011)
At 31 May, 2025	610,657	610,657
Carrying amounts		
At 31 May, 2025	879,714	879,714

In line with IAS 40, the Group continues to recognise certain assets as investment properties. These properties are not currently used by the business, and some of them have been leased in the short term. However, some of these properties have been reclassified and recognised as 'Assets held for sales' following confirmed intention to sell them; and their availability for immediate sale and disposal within 12 months is highly probable. The fair value of the investment properties is estimated at N15.73 billion as 31 May 2026 (31 May 2025: N13.91 billion). The valuation was carried out by Jide Taiwo & Co, a professional service firm of estate surveyors and valuers.

The fair value was estimated using the cost approach, this provides an indication of value using the economic principle that a buyer will pay no more for an asset than what it will cost him/her to own an equivalent asset of equal utility, whether by purchase or by construction. Thus the total construction cost of a new one is achieved through the application of a current construction rate to the gross floor area including other associated costs which is then depreciated to reflect present physical condition, functional and economic obsolescence on the property before adding the value of the bare site as at the date of valuation.

The income from investment property for the year ended 31 May 2026 is N837.4 million (2025: N938 million) for Group N 1.06 billion (2025: N1.1 Billion) for Company. The depreciation relating to investment property for the year ended 31 May 2026 is N28.6 million (2025: N60.4 million). Other related expenses are included as part of expenses disclosed in Note 26.

Notes to the consolidated and separate financial statements

7	Leases - Motor Vehicle		
	Right-of-use assets:		
	<i>In thousands of naira</i>		
	Cost	Group	Company
		2026	
	At 1 June 2025	795,847	585,298
	At 31 May 2026	795,847	585,298
	Accumulated Depreciation		
	At 1 June 2025	784,331	583,977
	Charge for the year	11,516	1,321
	At 31 May 2026	795,847	585,298
		2025	
	Cost	795,847	585,298
	At 31 May 2025	795,847	585,298
	Accumulated Depreciation		
	At 1 June 2024	688,210	518,880
	Charge for the year	96,121	65,097
	At 31 May 2025	784,331	583,977
	Carrying Amount		
	At 31 May 2026	-	-
	At 31 May 2025	11,516	1,321
8	Lease liability	Group	Company
	<i>In thousands of naira</i>		
	At 1 June 2025	11,516	1,321
	Lease payment	(11,516)	(1,321)
	At 31 May 2026	-	-
	At 1 June 2024	107,637	66,418
	Lease payment	(96,121)	(65,097)
	At 31 May 2025	11,516	1,321

The Group had a motor vehicle lease arrangement which has ran out. The leases of motor vehicle were mainly for 3 years with an option to renew. The Group will not be renewing the lease arrangement. The interest amount in the lease arrangement was not disclosed as it was immaterial and not considered to have a significant impact on the financial statements.

		Group		Company	
		2026	2025	2026	2025
Current		-	11,516	-	1,321
		-	11,516	-	1,321
Maturity analysis of lease liability					
		Group		Company	
		2026	2025	2026	2025
Year 1		-	11,516	-	1,321
		-	11,516	-	1,321
9	Intangible Assets - Software	Group		Company	
	<i>In thousands of Naira</i>	2026	2025	2026	2025
	Cost				
	At 1 June 2025	1,059,618	1,059,618	1,059,618	1,059,618
	At 31 May 2026	1,059,618	1,059,618	1,059,618	1,059,618
	Accumulated amortisation				
	At 1 June 2025	847,694	741,732	847,694	741,732
	Charge for the year	105,962	105,962	105,962	105,962
	At 31 May 2026	953,656	847,694	953,656	847,694
	Carrying amount				
	At 31 May 2026	105,962	211,924	105,962	211,924

All intangible assets are non-current. All intangible assets of the Group have finite useful life and are amortised over 10 years in line with its accounting policy. The intangible assets represent cost of Enterprise Resource planning software. The amortization of intangible assets is included in the administrative expenses as disclosed in Note 26.1.

Notes to the consolidated and separate financial statements

10 Investment in subsidiary

In thousands of Naira
At 31 May

	Investment amount	Country of incorporation and place of business	Nature of business	Company	
				2026	2025
	504,406			504,406	504,406
				Proportion of shares held by Parent & NCI in 2026 & 2025	
				Parent (%)	NCI (%)
HPZ Limited			Household electrical appliances manufacturer		
	504,406	Nigeria		74.99	25.01
HPZ Limited				2026	2025
<i>In thousands of Naira</i>					
Summary of financial position					
Current assets				33,036,483	25,198,680
Non-current assets				8,415,684	12,833,065
Current liabilities				(39,769,002)	(44,435,749)
Non-current liabilities				(562,179)	(495,545)
Equity attributable to owners of the Company				(840,627)	5,173,972
Non-controlling interests				(280,359)	1,725,577
Summary of statement of profit or loss and other comprehensive income					
Revenue				108,906,172	86,547,697
Net Expense				(100,885,635)	(83,079,794)
Profit for the year				8,020,537	3,467,903
Profit attributable to owners of the Company				6,014,601	2,608,814
Profit attributable to the non-controlling interests				2,005,936	859,089
Profit for the year				8,020,537	3,467,903
Other comprehensive income attributable to owners of the Company				-	-
Other comprehensive income attributable to the non-controlling interests				-	-
Other comprehensive income for the year				-	-
Total comprehensive income attributable to owners of the Company				6,014,601	2,608,814
Total comprehensive income attributable to the non-controlling interests				2,005,936	859,089
Total comprehensive income for the year				8,020,537	3,467,903
Summary of statements of cash flows					
Net cash inflow from operating activities				3,415,854	24,268,704
Net cash outflow from investing activities				(567,747)	(375,842)
Net cash outflow from financing activities				(2,738,865)	(25,371,812)
Net cash outflow				109,242	(1,478,950)
Cash and cash equivalents at 1 June				2,493,657	3,972,607
Cash and cash equivalents at 31 May				2,602,899	2,493,657

The amounts disclosed above do not reflect the elimination of intragroup transactions.

The NCI is derived at 25.1% of the total equity as at year end for HPZ limited.

11 Inventories

In thousands of Naira

	Group		Company	
	2026	2025	2026	2025
Raw materials and consumables	19,923,166	21,041,881	19,247,675	18,544,812
Finished goods and goods for resale	21,361,854	19,448,826	10,183,834	10,928,632
Engineering spares and other stocks	2,335,924	2,147,836	2,308,493	1,914,057
Goods in transit	17,649,636	10,859,041	3,868,959	2,382,016
Total	61,270,580	53,497,584	35,608,961	33,769,517

During the year ended 31 May 2026, N364.9 million (2025: N1.2 billion) was charged by the group while the company was charged N267.3 million (2025: N1.07 billion) to income statement for obsolete and damaged inventories identified. Also recognised as expense in the group and company's financial statements are engineering spares used for production of N861.3 million (2025: N620.1million) and N818 million (2025: N547.6million) respectively. The amounts are included in Obsolescence or damaged inventory and changes in inventories of finished goods and work in progress reporting in Note 26.1 of the financial statements.

Notes to the consolidated and separate financial statements

12 Trade and other receivables

Receivables due within one year:

In thousands of Naira

Trade receivables

Allowance for impairment of trade receivables (Note 12.3)

Net trade receivables

Due from related party companies (Note 34.2)

WHT credit note receivable

Other receivables*

Total

Group		Company	
2026	2025	2026	2025
13,445,141	7,128,899	9,573,044	4,743,497
(389,130)	(243,532)	(284,332)	(71,511)
13,056,011	6,885,367	9,288,712	4,671,986
2,275,700	1,502,793	8,271,092	12,698,900
1,423,836	1,221,990	1,193,444	1,012,838
8,109,171	2,725,655	7,514,593	2,217,399
24,864,718	12,335,805	26,267,841	20,601,123

12.1 Reconciliation of Trade and other receivables to cash flow

In thousands of Naira

Trade and other receivables movement

Loan receivable movement

Withholding credit utilized

Cash on disposal of assets not yet received as at reporting date

(12,528,913)	5,446,187	(5,666,718)	(5,529,972)
-	-	263,234	-
-	(773,888)	-	(629,536)
6,500,000	-	6,500,000	-
(6,028,913)	4,672,299	1,096,516	(6,159,508)

* Other receivables for current year include amounts receivable for utility services provided to third parties and proceeds on assets disposal of N6.5 billion due from PZ Wilmar Limited. These are considered 100% recoverable because the balances are settled within a period of one month, hence no loss allowance was estimated on the outstanding balance.

The average credit period on sales of goods is 30 days. No interest is charged on outstanding trade receivables.

12.2 Impairment on trade receivables

The Group measures the loss allowance for trade receivables at an amount equal to lifetime expected credit loss (ECL). The ECL on trade receivables are estimated using a provision matrix by reference to past default experience of the debtor and an analysis of the debtor's current financial position, adjusted for factors that are specific to the debtors, general economic conditions of the industry in which the debtors operate and an assessment of both the current as well as the forecast direction of conditions at the reporting date.

The Group has recognised a loss allowance of 100% against some of the receivables over 180 days past due, because historical experience has indicated that these receivables are generally not recoverable. There has been no change in the estimation techniques or significant assumptions made during the current reporting year. The Group writes off a trade receivable when there is information indicating that the debtor is in severe financial difficulty and there is no realistic prospect of recovery, e.g. when the debtor has been placed under liquidation or has entered into bankruptcy proceedings, or when the trade receivables are over two years past due, except where there is adequate security. None of the trade receivables that have been written off are subject to enforcement activities. Trade receivables are considered to be past due when they exceed the credit period granted.

There are no customers which represent more than 10% of the total balance of trade receivables of the Group after impairment. The following table details the risk profile of trade receivables based on the Group's provision matrix. As the Group's historical credit loss experience does not show significantly different loss patterns for different customer segments, the provision for loss allowance based on past due status is not further distinguished between the Group's different customer base.

Group	Trade receivables - days past due							
31 May 2026	Not Due	1-30	31-60	61-90	91-180	> 180	Specific Provision	Total
<i>In thousands of Naira</i>								
Expected credit loss rate	1%	3%	23%	36%	44%	100%	0%	
gross carrying amount at default	10,615,037	2,390,477	176,472	4,154	133,525	125,476	-	13,445,141
Lifetime ECL	(93,059)	(69,497)	(41,117)	(1,479)	(58,502)	(125,476)	-	(389,130)
	10,521,978	2,320,980	135,355	2,675	75,023	-	-	13,056,011
31 May 2025	Not Due	1-30	31-60	61-90	91-180	> 180	Specific Provision	Total
<i>In thousands of Naira</i>								
Expected credit loss rate	0%	4%	2%	27%	34%	44%	100%	
Estimated total gross carrying amount at default	6,191,831	646,993	31,669	40,854	12,733	59,591	145,228	7,128,899
Lifetime ECL	(29,344)	(26,839)	(484)	(10,863)	(4,369)	(26,405)	(145,228)	(243,532)
	6,162,487	620,154	31,185	29,991	8,364	33,186	-	6,885,367
Company	Trade receivables - days past due							
31 May 2026	Not Due	1-30	31-60	61-90	91-180	> 180	Specific Provision	Total
<i>In thousands of Naira</i>								
Expected credit loss rate	1%	3%	23%	36%	44%	100%	0%	
Estimated total gross carrying amount at default	7,205,586	2,028,864	137,801	738	131,772	68,283	-	9,573,044
Lifetime ECL	(63,169)	(62,776)	(32,107)	(263)	(57,734)	(68,283)	-	(284,332)
	7,142,417	1,966,088	105,694	475	74,038	-	-	9,288,712

Notes to the consolidated and separate financial statements

31 May 2025 <i>In thousands of Naira</i>	Trade receivables - days past due						Specific Provision	Total
	Not Due	1-30	31-60	61-90	91-180	> 180		
Expected credit loss rate	1%	6%	1%	27%	34%	57%	0%	
Estimated total gross carrying amount at default	4,192,368	464,263	27,773	39,442	12,733	6,918	-	4,743,497
Lifetime ECL	(26,328)	(25,903)	(284)	(10,687)	(4,369)	(3,940)	-	(71,511)
	4,166,040	438,360	27,489	28,755	8,364	2,978	-	4,671,986

12.3 Impairment on trade receivables movement

The Group and the Company's exposure to credit and market risks related to trade and other receivables are disclosed in Note 3.1.

Set out below is the movement in the allowance for expected credit losses of trade receivables:

<i>In thousands of Naira</i>	Group		Company	
	2026	2025	2026	2025
Opening balance	(243,532)	(393,976)	(71,511)	(306,784)
Impairment charge (Note 26.1)	(278,864)	(203,559)	(223,745)	(87,377)
Write off (Note 12.4)	133,266	354,003	10,924	322,650
Closing balance	(389,130)	(243,532)	(284,332)	(71,511)

12.4 Trade receivables impaired (ageing)

In thousands of Naira

Trade receivables impaired (ageing)

The ageing of impaired trade receivables is as follows:

	Group		Company	
	2026	2025	2026	2025
Current to 180 days	(263,654)	(71,899)	(216,049)	(67,571)
Over 180 days	(125,476)	(171,633)	(68,283)	(3,940)
Total	(389,130)	(243,532)	(284,332)	(71,511)

The impairment loss as at 31 May 2026 relates to several customers that are not expected to be able to pay their outstanding balances, mainly due to economic circumstances. The Company believes that the unimpaired amounts that are past due are still collectible, based on historical payment behavior and extensive analysis of the underlying customers' credit ratings.

Based on historical default rates, the Group believes that, apart from the above, no additional impairment allowance is necessary in respect of trade receivables past due.

All trade receivables are denominated in Nigerian Naira.

The credit risk of distributors is assessed at subsidiary and group level, taking into account their financial positions, past experiences and other factors. Individual distributor credit limits are imposed based on these factors.

Distributors are initially brought on board on a cash basis for a period of six months. At the expiration of the six months cash trading period, distributors are free to apply for credit.

The movement in gross carrying value of trade receivables is presented as follows:

<i>In thousands of Naira</i>	Group		Company	
	2026	2025	2026	2025
Opening balance	7,128,899	8,879,509	4,743,497	5,627,206
Net (decrease)/increase during the year	6,449,508	(1,396,607)	4,840,471	(561,059)
Write off (Note 12.3)	(133,266)	(354,003)	(10,924)	(322,650)
Closing balance	13,445,141	7,128,899	9,573,044	4,743,497

12.5 Lease Receivables

In thousands of Naira

	Group		Company	
	2026	2025	2026	2025
Opening Balance	2,540,788	2,493,269	2,540,788	2,493,269
Interest earned	335,142	393,313	335,142	393,313
Payment	(380,374)	(345,794)	(380,374)	(345,794)
Lease receivables	2,495,556	2,540,788	2,495,556	2,540,788

The lease agreement contains both finance and operating lease components. Ownership of certain leased assets will be transferred to the lessee free of cost at the end of the lease, these assets are classified as a finance lease; the remainder of the assets remain under PZ ownership and are classified as an operating lease.

The lease has been accounted for as a finance lease in line with the provisions of IFRS 16. The lease term is for a period of 10 years after which ownership transfers to the lessee. Set out above is the carrying amount of the net investment in lease and the movements during the year.

The impact of the adoption of the general approach to determine the ECL is considered immaterial by management. Consequently, no change was made to the carrying value of lease receivable as at 31 May 2026 (31 May 2025: Nil).

Notes to the consolidated and separate financial statements

12.5 Lease receivables (Continued)

In thousands of Naira

Non-Current
Current

Group		Company	
2026	2025	2026	2025
2,077,144	2,540,788	2,077,144	2,540,788
418,412	-	418,412	-
2,495,556	2,540,788	2,495,556	2,540,788

The table below sets out a maturity analysis of lease receivables, showing the undiscounted lease payments to be received after the reporting date.

In thousands of Naira

Less than one year
One to two years
Two to three years
Three to four years
Four to five years
More than five years
Total undiscounted lease receivable
Unearned finance income

Group		Company	
2026	2025	2026	2025
418,412	345,795	418,412	345,795
466,194	380,374	466,194	380,374
519,434	418,412	519,434	418,412
578,753	466,194	578,753	466,194
644,846	519,434	644,846	519,434
718,488	2,742,626	718,488	2,742,626
3,346,127	4,872,835	3,346,127	4,872,835
(850,571)	(2,332,047)	(850,571)	(2,332,047)
2,495,556	2,540,788	2,495,556	2,540,788

13 Loan receivables

In thousands of Naira

Opening balance
Additions during the year
Interest on loan (Note 35)
Payment (principal & interest) received within the year
Closing balance

Group		Company	
2026	2025	2026	2025
-	-	3,263,234	3,722,135
-	-	2,500,000	14,500,000
-	-	375,209	572,452
-	-	(3,138,443)	(15,531,353)
-	-	3,000,000	3,263,234
-	-	-	-
-	-	3,000,000	3,263,234
-	-	3,000,000	3,263,234

Loan receivables relates to cash advances made to related party. Information on interest received on advances and repayment terms are disclosed in Note 35. The Group did not recognise impairment on loans due from related party, because there are no conditions existing that reflects a future default in recovery of the amount due. The interest rates on the loan is at 12%.

14 Other assets

In thousands of Naira

Prepayments
Advances to suppliers
Total

Group		Company	
2026	2025	2026	2025
862,689	840,272	862,689	811,569
-	87,654	-	87,654
862,689	927,926	862,689	899,223

The advances have been made to suppliers to secure supply lines in the course of business and the amount is realisable within twelve months. Prepayments relate to advances for twelve months rental for accommodation and the prepaid rent is out of scope of IFRS 16 on leases.

In thousands of Naira

Current

Group		Company	
2026	2025	2026	2025
862,689	927,926	862,689	899,223
862,689	927,926	862,689	899,223

Notes to the consolidated and separate financial statements

15 Deposit for imports *In thousands of Naira*

Deposit for letters of credit
Total

Group		Company	
2026	2025	2026	2025
356,415	10,920,180	356,415	10,913,889
356,415	10,920,180	356,415	10,913,889

Deposit for letters of credit represents committed cash no longer available for another purpose other than the purpose it has been designated for. It represents naira deposits for foreign currencies purchased for funding of letters of credit; all related to settlement of invoices emanating from importation of raw materials, spare parts and machinery.

16 Cash and cash equivalents

In thousands of Naira

Cash at bank
Restricted cash*
Total

Group		Company	
2026	2025	2026	2025
40,340,833	39,216,396	37,737,934	36,722,739
421,684	1,443,468	421,684	1,443,468
40,762,517	40,659,864	38,159,618	38,166,207

Restricted cash relates to unclaimed dividends held in a short term deposit with a reputable financial institution in Nigeria in accordance with guidelines issued by the Securities and Exchange Commission (SEC). Under the SEC guidelines, these amounts are restricted from use by the Company. The management considers that the carrying amount of these assets is approximately equal to their fair values. The fund is however payable on demand.

16.1 Restricted cash can be further analysed as follows:

In thousands of Naira

Short term investment with FBN Quest
Cash at bank
Total

Group		Company	
2026	2025	2026	2025
379,992	1,335,884	379,992	1,335,884
41,692	107,584	41,692	107,584
421,684	1,443,468	421,684	1,443,468

The Company earned interest amounting to N54.1 million on the placement with FBN Quest in the year (2025:235.4 million). This interest amount is included in Note 35 to the financial statements.

17 Share capital

Issued and fully paid:

3,970,477,045 ordinary shares of 50k each

2026		2025	
Number in thousands	Amount N'000	Number in thousands	Amount N'000
3,970,477	1,985,238	3,970,477	1,985,238

17.1 Other reserves

The movement in Other reserves is presented as follows:

In thousands of Naira

Opening balance
Movement during the year
Closing balance

Group		Company	
2026	2025	2026	2025
14,293,613	-	14,293,613	-
38,813,188	14,293,613	38,813,188	14,293,613
53,106,801	14,293,613	53,106,801	14,293,613

On 16 March 2026, PZ Cussons (Holdings) Limited waived the debt obligation that the company has relating to Global IT cost recharges and technical knowhow & services fees for three years relating to 2020, 2021 & 2022. The debt obligation discharged amounted to N30.2 billion (IT cost recharges) and N8.6 billion (Technical Knowhow & Services fee). This has been treated as capital contribution by the parent company to the company in the current financial year.

Notes to the consolidated and separate financial statements

18 Deferred income

In thousands of Naira

Rent received in advance

Group		Company	
2026	2025	2026	2025
455,015	920,379	455,015	920,379
455,015	920,379	455,015	920,379

The movement in Deferred Income is presented as follows:

In thousands of Naira

Opening balance
Increase during the year
Release to income statements (Note 27)

Group		Company	
2026	2025	2026	2025
920,379	920,379	920,379	920,379
372,028	938,248	594,967	1,113,965
(837,392)	(938,248)	(1,060,331)	(1,113,965)
455,015	920,379	455,015	920,379

Rent received in advance relates to rent received from third parties on PZ Cussons Nigeria Plc warehouses. Further analyses of the deferred income is presented below:

Deferred income

In thousands of Naira

Non- Current
Current

Group		Company	
2026	2025	2026	2025
7,591	384,322	7,591	384,322
447,424	536,057	447,424	536,057
455,015	920,379	455,015	920,379

19 Contract liabilities

In thousands of Naira

Advance from customers

Group		Company	
2026	2025	2026	2025
1,631,033	2,394,584	641,215	1,186,496
1,631,033	2,394,584	641,215	1,186,496

Contract liabilities relates to income received from customers for which goods are yet to be supplied. Revenue is recognised when control of the goods has been transferred to the customers, being at the point the goods are received or collected by the customers. When the customers initially purchase the goods, the transaction value received at that point by the Group is recognised as contract liabilities until the goods have been received by the customers. Prior year contract liabilities amount was recognized as revenue in the current year.

The movement in contract liabilities is presented as follows:

In thousands of Naira

Opening balance
Release to revenue
Additions during the year

Group		Company	
2026	2025	2026	2025
2,394,584	692,667	1,186,496	653,447
(2,394,584)	(692,667)	(1,186,496)	(653,447)
1,631,033	2,394,584	641,215	1,186,496
1,631,033	2,394,584	641,215	1,186,496

Contract Liabilities

In thousands of Naira

Non-current
Current

Group		Company	
2026	2025	2026	2025
-	-	-	-
1,631,033	2,394,584	641,215	1,186,496
1,631,033	2,394,584	641,215	1,186,496

Notes to the consolidated and separate financial statements

20 Taxation

In thousands of Naira

Income tax expense:

Company income tax in respect of current year

Minimum tax

Education tax in respect of prior year

Development levy

Capital gains tax

Police levy

Under/ (Over) provision of prior year tax

Total current tax

Deferred tax:

Current year charge to income statement

Total deferred tax

Income tax expense

Effective tax rate reconciliation

The tax on the Group's profit before tax differs from the theoretical amount that would arise using the basic tax rate of the parent as follows:

Effective tax rate reconciliation

	Group				Company			
<i>In thousands of Naira</i>	2026	%	2025	%	2026	%	2025	%
Profit before tax	77,318,311		16,660,555		60,909,213		10,795,130	
Income tax using the domestic Company income tax rate of 30% (2025: 30%)	23,195,493	30%	4,998,167	30%	18,272,764	30%	3,238,539	30%
Tax effects of:								
Non-taxable deductions	(358,126)	0%	302,007	2%	(361,287)	-1%	140,683	1%
Tertiary education tax	-	0%	496,307	3%	-	0%	496,307	5%
Development levy	661,302	1%	-	0%	-	0%	-	0%
Capital Gains Tax	3,182,972	4%	-	0%	3,182,972	5%	-	0%
Minimum tax	4,160,638	5%	476,277	3%	2,415,982	4%	-	0%
NASENI and Police Levy	-	0%	833	0%	-	0%	540	0%
Provision for uncertain tax*	1,305,888	2%	320,245	2%	249,175	0%	320,245	3%
Total income tax expense in income statement	32,148,167	42%	6,593,836	40%	23,759,606	39%	4,196,314	39%

The current tax charge has been computed at the applicable rate of 30% (31 May 2025: 30%) plus development levy of 4% (31 May 2025: Education tax of 3%) on the profit for the year after adjusting for certain items of expenditure and income which are not deductible or chargeable for tax purposes. Non-deductible expenses include items such as donations and certain provisions which are not allowed as a deduction by the tax authorities.

Minimum tax was recognized in the current year in accordance with the Nigeria Tax Act and was calculated in accordance with Section 57 of the Nigeria Tax Act (NTA) 2025, which states that a company with turnover of NGN 50 billion and above, and a company that is a constituent entity of a Multinational Enterprise ("MNE") Group with an aggregate group turnover of at least £750 million or its equivalent, shall be subject to a minimum Effective Tax Rate (ETR) of 15%, where the covered taxes as a percentage of net income are less than 15%, the company shall recompute and pay an additional tax to bring its effective tax rate up to 15%.

Minimum tax was recognized in the prior year in accordance with Section 33 of the Companies Income Tax Act. Consequently, current tax has been recognized based on the minimum tax provision, being higher than the tax computed under the normal basis. Following the amendments introduced by the Finance Act, the minimum tax was computed as 0.5% of gross turnover less franked investment income.

*Provision for uncertain tax relates to transfer pricing provision and Nigeria Revenue Service (NRS) tax audit.

Current taxation payable

The movement in the current income taxation payable is as follows:

	Group		Company	
<i>In thousands of Naira</i>	2026	2025	2026	2025
Opening balance	5,893,251	2,448,803	5,367,794	1,898,064
Tax charge for the year	11,105,818	4,705,212	7,719,809	4,228,642
Under/ (Over) provision of prior year tax	157,835	(115,982)	70,788	(129,377)
Withholding credit utilized	-	(773,888)	-	(629,535)
Tax paid during the year	(8,238,924)	(370,894)	(7,762,354)	-
Current tax payable	8,917,980	5,893,251	5,396,037	5,367,794

21 Deferred tax

In thousands of Naira

The analysis of deferred tax liabilities is as follows:

Deferred tax asset to be recovered after more than 12 months

In thousands of Naira

Opening balance

Charged/(credited) to income statement (Note 20)

Closing balance

	Group		Company	
	2026	2025	2026	2025
	(6,892,680)	(27,777,194)	(836,430)	(16,805,439)
	Group		Company	
	2026	2025	2026	2025
	(27,777,194)	(29,781,800)	(16,805,439)	(16,902,488)
	20,884,514	2,004,606	15,969,009	97,049
	(6,892,680)	(27,777,194)	(836,430)	(16,805,439)

In thousands of Naira

At 1 June 2024

Credited to income statement

At 31 May 2025

Charged to income statement

At 31 May 2026

	Group			Company		
	Property, plant and equipment	Provisions	Total	Property, plant and equipment	Provisions	Total
	(896,732)	(28,885,068)	(29,781,800)	2,508,152	(19,410,639)	(16,902,487)
	1,417,394	587,213	2,004,607	1,047,273	(950,225)	97,048
	520,662	(28,297,855)	(27,777,193)	3,555,425	(20,360,864)	(16,805,439)
	3,562,918	17,321,595	20,884,513	149,913	15,819,096	15,969,009
	4,083,580	(10,976,260)	(6,892,680)	3,705,338	(4,541,768)	(836,430)

Notes to the consolidated and separate financial statements

21 Deferred tax (Continued)

Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities and when they relate to income taxes levied by the same taxation authority and the Group intends to settle its current tax assets and current tax liabilities on a net basis. The following is the analysis of the deferred tax balances (after offset) for financial reporting purposes:

	Group		Company	
<i>In thousands of Naira</i>	2026	2025	2026	2025
Deferred tax assets	(6,892,680)	(27,777,194)	(836,430)	(16,805,439)
Net deferred tax assets	(6,892,680)	(27,777,194)	(836,430)	(16,805,439)

22 Warranty provisions

Warranty provisions

	Group		Company	
	2026	2025	2026	2025
	705,135	608,729	-	-
	705,135	608,729	-	-

In thousands of Naira

	Group		Company	
	2026	2025	2026	2025
Opening balance	608,729	324,453	-	-
Charged to the income statement	304,172	316,133	-	-
Utilised in the year	(207,766)	(31,857)	-	-
Closing balance	705,135	608,729	-	-

The ageing of the warranty provision is as follows:

	2026	2025	2026	2025
Within 12 months	142,956	113,184	-	-
Greater than 12 months	562,179	495,545	-	-
Total	705,135	608,729	-	-

The warranty provision represents management's best estimate of the Group's liability for warranties granted on electrical products, based on past experience for defective products.

The group generally offers 1 - 3 year warranties for its electrical products and components. Directors estimates the related provision for future warranty claims based on historical warranty claim information, as well as recent trends. Factors that could impact the estimated claim information include the success of the group's product and quality initiatives, as well as spare parts and labour costs (Note 2.25.4).

23 Trade and other payables

In thousands of Naira

	Group		Company	
	2026	2025	2026	2025
Trade payables	4,102,642	8,205,534	3,638,772	7,190,776
Unclaimed dividend (Note 23.1a)	444,736	1,512,916	444,736	1,512,916
Accruals*	26,122,861	14,643,574	20,403,706	10,788,337
Amounts owed to related parties (Note 34.2)	43,777,500	80,262,675	30,252,628	64,642,014
Sundry creditors	869,957	522,730	650,381	358,896
Total	75,317,696	105,147,429	55,390,223	84,492,939

Trade and other payables comprise amounts outstanding for trade purchases and ongoing costs. The average credit period taken for trade purchases is 30 days. No interest is charged by the Group's suppliers on all its outstanding balances. The Group has financial risk management policies in place to ensure that all payables are paid within the pre-agreed credit terms. The Company's exposure to liquidity risk related to trade and other payables is disclosed in Note 3.2. The Directors consider the carrying amount of trade and other payables to approximate their fair value.

* Included in the amounts reported as accruals relates to tradex accruals of about N3.88bn (2025:N3.04bn); Duty and clearing costs amount to N2.76bn (2025: N0.97bn), VAT liability N3.23 bn (2025: N2.33bn) in both Company and Group.

Notes to the consolidated and separate financial statements

23.1 Unclaimed dividend

23.1a Movement in Unclaimed Dividend

In thousands of Naira

Opening balance
Dividend disbursed by registrar during the year
Statute barred dividend transferred to retained earnings [see (i) below]
Transfer to Debt Management Office (DMO) by Company
Closing balance

Group		Company	
2026	2025	2026	2025
1,443,468	1,635,208	1,443,468	1,635,208
-	(92,781)	-	(92,781)
-	(98,959)	-	(98,959)
(1,021,784)	-	(1,021,784)	-
421,684	1,443,468	421,684	1,443,468
69,448	69,448	69,448	69,448
(38,118)	-	(38,118)	-
(8,278)	-	(8,278)	-
23,052	69,448	23,052	69,448
444,736	1,512,916	444,736	1,512,916

Opening balance with Registrar for distribution
Transfer to DMO by Registrar
Settlements by Registrar
closing amount with Registrar for distribution

Closing Balance

The balance as at year end is included in trade and other payables (Note 23)

- (i) In accordance with the Securities and Exchange Commission (SEC) circular published in 2015, all Capital Market Registrars are to return unclaimed dividends which have been in their custody for fifteen months and above to the paying companies.
- (ii) Section 432(3) of the companies and allied matters act (CAMA) as amended by Finance Act 2020, stipulates that dividends of a public limited liability company quoted on the Nigerian Stock Exchange which has remained unclaimed for a period of six years or more from the date of declaring the dividend shall be immediately transferred to the Unclaimed Funds Trust Fund.

24 Deliverable forwards

In thousands of Naira

Deliverable forwards
Total

Group		Company	
2026	2025	2026	2025
-	63,088	-	5,188
-	63,088	-	5,188

Deliverable forwards represent Naira deposits with the Central Bank of Nigeria(CBN) for purchase of foreign currencies under a forward contract for settlement of invoices emanating from importation of raw materials, spare parts and machinery. The deliverable forwards were measured at amortised cost.

The reduction in the deliverable forward balance is due to the settlement of existing forwards by the CBN and the Company's use of alternative means of financing for foreign purchases in the current year.

25 Borrowings

In thousands of Naira

Borrowing from parent and related companies (Note 25.1)

Group		Company	
2026	2025	2026	2025
5,900,000	71,267,620	-	63,867,620
5,900,000	71,267,620	-	63,867,620

Borrowings

In thousands of Naira

Current

Group		Company	
2026	2025	2026	2025
5,900,000	71,267,620	-	63,867,620
5,900,000	71,267,620	-	63,867,620

25.1 Borrowing from parent and related companies

In thousands of Naira

Balance as at 1 June
Additions
Foreign currency revaluation adjustment
Payment
Balance as at 31 May

Group		Company	
2026	2025	2026	2025
71,267,620	64,333,113	63,867,620	59,833,113
-	2,900,000	-	-
(6,073,484)	4,034,507	(6,073,484)	4,034,507
(59,294,136)	-	(57,794,136)	-
5,900,000	71,267,620	-	63,867,620

The borrowings relate to loan received from ultimate parent company, PZ Cussons(Holding) Limited, UK, in July 2022 based on agreement signed in June 2022. The facility amount is \$40.26 million (N63.9 billion), and it is non-interest bearing. The loan has been fully repaid in the current year. The subsidiary - HPZ Ltd received a Naira denominated loan from related companies- Harefield Industrial Nigeria Limited amounting to N4 billion (2025: N5 billion) and Nutricima Limited amounting to N1.9 billion (2025: N2.4billion).

25.2 Trade obligation with banks

In thousands of Naira

Balance as at 1 June
Additions
Interest charged (Note 35)
Payment
Balance as at 31 May

Group		Company	
2026	2025	2026	2025
-	24,731,616	-	1,108,447
-	-	-	-
25	2,789,743	-	45,771
(25)	(27,521,359)	-	(1,154,218)
-	-	-	-

The Company was involved in trade financing arrangements with some local banks where the banks agreed to pay amounts to foreign vendors in respect of invoices owed by the Company and received settlement from the Company at a later date. The principal purpose of the arrangements was to facilitate efficient payment processing in view of the challenges experienced with sourcing foreign currency in the Nigerian market. The arrangement enabled the Company to settle its foreign obligations in a timely manner to facilitate receipt of key input materials required in the production of finished goods. The facilities have been fully settled as at end of the 2025 financial year.

Notes to the consolidated and separate financial statements

26.1 Expense by nature

In thousands of Naira

Changes in inventories of finished goods and work in progress
Obsolescence/ damaged inventory (Note 11)
Personnel expenses (Note 31.4)
Fuel and gas
Depreciation (Note 4)
Impairments of PPE (Note 4)
Depreciation - Right-of-use (Note 7)
Amortization charge - Intangible assets (Note 9)
Depreciation-Investment property (Note 6)
Auditors remuneration*
Directors emoluments (Note 31.1)
Rent and rates
Insurance
Freight/carriage cost
Security services
Global shared services support (Note 33)
Vehicle repairs and maintenance
Technical Know, R&D support, and Trade mark (Note 33)
Advertising and market promotions
Electricity
Impairment of trade receivables (Note 12.3)
Building and plant maintenance
General and other expenses**

	Group		Company	
	2026	2025	2026	2025
Changes in inventories of finished goods and work in progress	165,425,619	132,029,305	82,453,706	65,796,470
Obsolescence/ damaged inventory (Note 11)	364,987	1,200,441	267,308	1,074,044
Personnel expenses (Note 31.4)	14,219,717	10,356,239	10,644,881	7,859,559
Fuel and gas	2,101,154	3,343,115	2,258,646	3,240,369
Depreciation (Note 4)	2,454,246	1,733,057	2,174,032	1,538,697
Impairments of PPE (Note 4)	264,501	155,908	264,501	143,956
Depreciation - Right-of-use (Note 7)	11,516	96,121	1,321	65,097
Amortization charge - Intangible assets (Note 9)	105,962	105,962	105,962	105,962
Depreciation-Investment property (Note 6)	28,614	60,428	28,614	60,428
Auditors remuneration*	343,338	312,126	219,553	199,594
Directors emoluments (Note 31.1)	537,951	369,008	537,951	369,008
Rent and rates	128,943	409,801	290,017	409,801
Insurance	742,343	799,915	700,911	757,870
Freight/carriage cost	8,384,205	6,209,237	4,882,477	3,855,164
Security services	1,219,755	816,357	406,865	329,054
Global shared services support (Note 33)	7,265,259	8,661,480	7,265,259	8,661,480
Vehicle repairs and maintenance	319,700	219,855	302,136	203,676
Technical Know, R&D support, and Trade mark (Note 33)	6,848,339	5,641,258	6,848,339	5,641,258
Advertising and market promotions	7,749,704	3,410,853	6,434,643	2,747,671
Electricity	5,611,198	5,489,898	5,464,302	5,292,986
Impairment of trade receivables (Note 12.3)	278,864	203,559	223,745	87,377
Building and plant maintenance	4,627,909	2,984,749	4,307,584	2,607,539
General and other expenses**	6,118,555	3,118,284	5,869,573	2,078,898
	235,152,379	187,726,956	141,952,326	113,125,958
Cost of sales	187,191,170	154,926,172	102,935,999	87,244,715
Selling and distribution expenses	26,514,466	17,895,551	18,900,027	12,353,306
Impairment of trade receivables (Note 12.3)	278,864	203,559	223,745	87,377
Administrative expenses	21,167,879	14,701,674	19,892,555	13,440,560
	235,152,379	187,726,956	141,952,326	113,125,958

*No non-audit services were provided by the auditors during the years ended 31 May 2026 and 31 May 2025.

** General and other expenses relate to traveling expenses, vehicle running expenses, consultancy fees, bank charges and other overhead costs.

Details of other professionals providing other forms of assurance on the financial statements are as follows:

Name of professional	FRC number of the professional	FRC number of the firm	Name of firm	Nature of service
Adeyemi Moses Adeolu	FRC/2015/PRO/NIESV/004/00000011506	FRC/2012/COY/00000000254	Jide Taiwo and Co	Valuation service
Audrey Obidike	FRC/2015/PRO/ICAN/004/00000011970	FRC/2023/COY/209403	Ernst and Young	Taxation service Statutory reporting service

26.2 Foreign exchange loss

In thousands of Naira

Foreign exchange gain/(loss)

	Group		Company	
	2026	2025	2026	2025
Foreign exchange gain/(loss)	11,835,354	(7,784,240)	9,749,433	(5,659,351)

27 Other income

In thousands of Naira

Rental income (Note 18)
Profit on disposal of PPE and assets held for sale (Note 27.1)
Scrap sales

	Group		Company	
	2026	2025	2026	2025
Rental income (Note 18)	837,392	938,248	1,060,331	1,113,965
Profit on disposal of PPE and assets held for sale (Note 27.1)	38,665,909	6,532	38,648,235	998
Scrap sales	416,599	854,613	408,052	654,034
	39,919,900	1,799,393	40,116,618	1,768,997

27.1 Profit on disposal of PPE and assets held for sale

In thousands of Naira

Proceed from disposal of PPE
Proceed from disposal of asset held for sale (Note 12)
Carrying amount of asset disposed (Note 4)
Carrying amount of asset held for sale (Note 5)
Profit on disposal of asset

	Group		Company	
	2026	2025	2026	2025
Proceed from disposal of PPE	24,494,371	6,778	24,476,696	2,648
Proceed from disposal of asset held for sale (Note 12)	14,493,088	-	14,493,088	-
Carrying amount of asset disposed (Note 4)	(48,679)	(246)	(48,679)	(1,650)
Carrying amount of asset held for sale (Note 5)	(272,870)	-	(272,870)	-
Profit on disposal of asset	38,665,909	6,532	38,648,235	998

**Included in other income is a gain of ₦14.8 billion arising from the disposal of assets previously classified as held for sale and a gain of ₦23.915 billion from the disposal of non-core property, plant and equipment. The disposed assets formed part of the Group's asset restructuring programme undertaken during the financial year. Management considers these gains to be non-recurring in nature and therefore users of the financial statements should consider them separately when assessing the underlying operating performance of the

27.2 Reconciliation of Proceed from disposal of PPE to cash flow

In thousands of Naira

Proceed from disposal of PPE
Proceed yet to be received
Proceed from disposal of PPE as per cash flow

Proceed from disposal of PPE	24,494,371	6,778	24,476,696	2,648
Proceed yet to be received	(6,500,000)	-	(6,500,000)	-
Proceed from disposal of PPE as per cash flow	17,994,371	6,778	17,976,696	2,648

28 Revenue

The Group derives its revenue from contracts with customers for the transfer of goods at a point in time in the following major product lines. This is consistent with the revenue information that is disclosed for each reportable segment under IFRS 8 Operating Segments (see Note 29).

The Group analyses its net revenue by the following categories:

In thousands of Naira

Home and personal care products
Durable electrical appliances
Total

	Group		Company	
	2026	2025	2026	2025
Home and personal care products	151,550,256	126,086,639	151,550,256	126,086,639
Durable electrical appliances	108,906,172	86,547,697	-	-
Total	260,456,428	212,634,336	151,550,256	126,086,639

Notes to the consolidated and separate financial statements

29 Operating segments

The Chief operating decision-maker has been identified as the Executive Management which includes the Executive Directors.

The Executive Management reviews the Group's internal reporting in order to assess performance and allocate resources. Executive Management has determined the operating segments based on these reports which include an allocation of central revenue and costs as appropriate.

For reporting purposes, in accordance with IFRS 8 'Operating Segments', the executive management aggregates operating segments with similar characteristics and conditions into reporting segments, which form the basis of the reporting in the Annual Report.

The Executive Management considers the business from products perspective, with branded consumer goods and durable electrical appliances being the reporting segments. The Executive Management assesses the performance based on operating profit before any exceptional items.

The principal categories of customers are wholesalers. The Group's reportable segments under IFRS 8 are therefore as follows:

Segment Description

Home and personal care products

This includes the production and sale of Morning Fresh, Zip, Canoe, Premier, Excel, Joy, Stella, Venus, Imperial Leather, Cussons baby, Original source, Carex, Robb etc.

Durable Electrical appliances

This includes the production and sale of Haier Thermocool Refrigerators, Freezers, Generators, Air conditioners, Washing machines etc.

The accounting policies of the reportable segments are the same as the Group's accounting policies described in Note 2. Segment profit represents the profit earned by each segment without central administration costs including Directors' salaries, finance income, non-operating gains and losses in respect of financial instruments. This is the measure reported to the Group's Executive Management for the purpose of resource allocation and assessment of segment performance.

The following is an analysis of the Group's revenue and results by reportable segment in 2026:

29.1 Segment revenue and profit

	Home and Personal Care Products	Durable electrical appliances	Eliminations	Total
As at May 2026				
<i>In thousands of Naira</i>				
Revenue				
Total gross segment revenue	151,550,256	108,906,172	-	260,456,428
Total Revenue	151,550,256	108,906,172	-	260,456,428
Segment operating profit	59,728,482	17,595,322	-	77,323,804
Impairment of PPE (Note 26.1)	(264,501)	-	-	(264,501)
Finance income (Note 35)	1,445,232	(220,788)	-	1,224,444
Finance cost (Note 35)	-	(965,436)	-	(965,436)
Profit before taxation	60,909,213	16,409,098	-	77,318,311
Taxation (Note 20)	(23,759,606)	(8,388,561)	-	(32,148,167)
Profit after taxation	37,149,607	8,020,537	-	45,170,144

The following is an analysis of the Group's revenue and results by reportable segment in 2025:

	Home and personal care products	Durable electrical appliances	Eliminations	Total
As at May 2025				
<i>In thousands of Naira</i>				
Revenue				
Total gross segment revenue	126,086,639	86,547,697	-	212,634,336
Total Revenue	126,086,639	86,547,697	-	212,634,336
Segment operating profit	9,214,283	9,864,158	-	19,078,441
Impairment of PPE (Note 26.1)	(143,956)	(11,952)	-	(155,908)
Finance income (Note 35)	1,771,297	(400,514)	-	1,370,783
Finance cost (Note 35)	(46,494)	(3,586,267)	-	(3,632,761)
Profit before taxation	10,795,130	5,865,425	-	16,660,555
Taxation (Note 20)	(4,196,314)	(2,397,522)	-	(6,593,836)
Profit/(loss) after taxation	6,598,816	3,467,903	-	10,066,719

The Group is domiciled in Nigeria. Segment revenue reported above represents revenue generated from external customers. The result of its revenue from external customers in Nigeria is N 249.9 billion (2025:N203.7 billion) and the total of revenue from external customers from other countries is N 10.5 billion (2025: N9.0 billion) (Note 29.5). There were no intersegment sales in the current year (2025: Nil).

Notes to the consolidated and separate financial statements

29.2 Segment assets

	Home and Personal Care Durable electrical			
	Products	appliances	Eliminations	Total
As at May 2026				
<i>In thousands of Naira</i>				
Property plant and equipment (Note 4)	18,006,839	2,359,434	-	20,366,273
Intangible assets (Note 9)	105,962	-	-	105,962
Financial assets (Note 3.1)	69,085,986	3,964,776	(5,995,392)	67,055,370
Inventory (Note 11)	35,608,961	25,661,619	-	61,270,580
Total segment assets	122,807,748	31,985,829	(5,995,392)	148,798,185
Unallocated assets	4,988,613	291,250	5,490,986	10,770,849
Total assets	127,796,361	32,277,079	(504,406)	159,569,034
	Home and Personal Care Durable electrical			
	Products	appliances	Eliminations	Total
As at May 2025				
<i>In thousands of Naira</i>				
Property plant and equipment (Note 4)	16,212,238	1,851,116	-	18,063,354
Intangible assets (Note 9)	211,924	-	-	211,924
Financial assets (Note 3.1)	71,936,803	2,016,251	(11,196,107)	62,756,947
Inventory (Note 11)	33,769,517	19,728,067	-	53,497,584
Total segment assets	122,130,482	23,595,434	(11,196,107)	134,529,809
Unallocated assets	23,657,143	23,698	10,691,701	34,372,542
Total assets	145,787,625	23,619,132	(504,406)	168,902,351

The total segment assets located in Nigeria is N159.6 billion (2025: N168.9 billion), and the total of such segment assets located in other countries is Nil (2025: Nil).

For the purposes of monitoring segment performance and allocating resources between segments, the Group's Executive Management monitors the tangible, intangible and financial assets attributable to each segment. All assets are allocated to reportable segments with the exception of investments in subsidiaries. Assets used jointly by reportable segments are allocated on the basis of the revenues earned by individual reportable segments.

29.3 Other segment information

	Depreciation and amortisation		Additions to non-current assets	
	2026	2025	2026	2025
<i>In thousands of Naira</i>				
Home and Personal Care Products	2,545,816	1,853,713	4,281,813	4,441,093
Durable Electrical Appliances	290,409	237,336	788,532	551,312
	2,836,225	2,091,048	5,070,345	4,992,405

The depreciation and amortisation as well as the additions to non-current assets reported above, were recognised in respect of property, plant and equipment only.

29.4 Revenues from major products

The Group's revenues from its major products and are disclosed in Note 28.

29.5 Geographical information

The Company's revenue from external customers and information about its segment assets (non-current assets) by geographical location are detailed below:

Group

	Revenue from external customers	
	2026	2025
<i>In thousands of Naira</i>		
Domestic (within Nigeria)	249,941,963	203,658,252
Export (outside Nigeria)	10,514,465	8,976,084
Total revenue from contract with customers	260,456,428	212,634,336

Company

	Revenue from external customers	
	2026	2025
<i>In thousands of Naira</i>		
Domestic (within Nigeria)	141,035,792	117,110,555
Export (outside Nigeria)	10,514,464	8,976,084
Total revenue from contract with customers	151,550,256	126,086,639

The total value of non-current assets from which revenue was derived are: Group N 30.7 billion (2025: N49.5 billion), Company N 22.8 billion (2025: N37.2 billion).

In presenting information on the basis of geography, segment revenue is based on the geographical location of the customers and segment assets are based on the geographical location of the assets.

29.6 Information about major customers

No single external customer either within or outside Nigeria contributed more than 10% of the revenue for the year. Therefore, information on major customers is not presented.

Notes to the consolidated and separate financial statements

30 Earnings per share

Basic earnings per share (EPS) is calculated by dividing the profit attributable to equity holders of the parent company by the weighted average number of ordinary shares outstanding at the end of the reporting period.

	Group		Company	
	2026	2025	2026	2025
Profit attributable to equity holders of parent company (N'000)	43,164,208	9,207,630	37,149,607	6,598,816
Weighted average number of ordinary shares in issue ('000)	3,970,477	3,970,477	3,970,477	3,970,477
Basic earnings per share (Naira/share)	10.87	2.32	9.36	1.66

Diluted EPS is the same as basic earnings per share as there are no potential dilutive ordinary shares or transactions.

31 Directors and employees emoluments

31.1 In thousands of naira

Chairman and Director's emoluments:

	Group		Company	
	2026	2025	2026	2025
Chairman	30,500	30,300	30,500	30,300
Directors	507,451	338,708	507,451	338,708
Total	537,951	369,008	537,951	369,008
As fees (As per Non-Executive Directors)	32,000	19,500	32,000	19,500
Other emoluments (As per Non-Executive Directors)	103,700	81,900	103,700	81,900
Emoluments As per Executive Directors	402,251	267,608	402,251	267,608
Total	537,951	369,008	537,951	369,008

Included in emoluments to Executive Directors is pension paid to them during the year.

31.2 Number of Directors whose emoluments fell within the following ranges were:

31.2.1 Executive Directors

	Group		Company	
	2026	2025	2026	2025
	Number	Number	Number	Number
Below N30,000,000	1	1	1	1
N220,000,001 - N280,000,000	-	1	-	1
N280,000,001 - N400,000,000	1	-	1	-
Directors with salaries and allowances as emoluments*	2	2	2	2

*Two Executive Directors were appointed after 31 May 2026 and therefore not considered for emoluments during the year.

31.2.2 Non-Executive Directors

N15,000,001 - N35,000,000

	2026	2025	2026	2025
Directors with fees and other emoluments	5	4	5	4
Directors with no emoluments	2	4	2	4
Total	9	10	9	10

31.3 Highest paid Director received

In thousands of naira

	Group		Company	
	2026	2025	2026	2025
Highest paid Director received	395,440	267,608	395,440	267,608

Notes to the consolidated and separate financial statements

31.4 Personnel expenses

- (a) Personnel expenses for the year comprise of the following:

	Group		Company	
	2026	2025	2026	2025
<i>In thousands of naira</i>				
Salaries, wages and other employee expenses	12,877,883	9,290,290	9,607,504	7,051,010
Pension costs - defined contribution plan	829,370	687,920	621,546	511,958
Pension costs - gratuity scheme	512,464	378,029	415,831	296,591
Total	14,219,717	10,356,239	10,644,881	7,859,559

The gratuity scheme is a defined contribution where the obligation is computed and paid to the employees on an annual basis.
Other employee expenses include incentives, medical and other employee benefits.

- (b) Number of employees of the Group and Company as at 31 May, whose duties were wholly or mainly discharged in Nigeria, received annual remuneration (excluding pension contributions and certain benefits) in the following ranges:

	Group		Company	
	2026	2025	2026	2025
	Number	Number	Number	Number
N1,500,000 and below	9	-	6	-
N1,500,001 - N2,000,000	4	-	4	-
N2,000,001 - N2,500,000	5	1	4	-
N2,500,001 - N3,000,000	9	44	6	11
N3,000,001 - N3,500,000	20	335	11	237
N3,500,001 - N4,000,000	219	153	142	101
N4,000,001 and above	579	334	409	243
	845	867	582	592

- (c) The number of full-time persons employed per function as at 31 May was as follows:

	Group		Company	
	2026	2025	2026	2025
	Number	Number	Number	Number
Production	604	630	410	423
Sales and distribution	156	150	94	86
Administration	85	87	78	83
	845	867	582	592

Notes to the consolidated and separate financial statements

32 Contingencies

a Assets

Export Expansion Grant scheme (EEG)

The Export Expansion Grant ('EEG' or 'the Scheme') is one of the export incentives introduced by the Federal Government of Nigeria through the Export (Incentives and Miscellaneous Provisions) Act No. 18 of 1986 as amended by the Export (Incentives and Miscellaneous Provisions) Act No. 65 of 1992, Cap E19, Laws of the Federation of Nigeria (LFN). It is a post-shipment incentive designed to improve the competitiveness of Nigerian products and commodities and expand the country's volume and value of non-oil exports.

The "Export Expansion Grant scheme (EEG)" is a vital incentive of the Federal Government of Nigeria required for the stimulation of export oriented activities that will lead to significant growth of the non-oil export sector. Having met the eligibility criteria and registered under the scheme by the Nigerian Export Promotion Council (NEPC), the Group is entitled to a rebate on export sales in as much as the Group can demonstrate that all the conditions precedent have been met.

Negotiable Duty Credit Certificate (NDCC): The NDCC now called Export Credit Certificate (ECC) in line with the revised guidelines for Export Expansion Grant (EEG) scheme. Successful exporters are paid this instrument - ECC which can be used for the following:

- (a) purchase of Federal Government Bonds;
- (b) settlement of all Federal Government taxes such as company income tax, VAT, WHT, etc;
- (c) settlement of Asset Management Corporation of Nigeria (AMCON) liabilities.
- (d) settlement of credit facilities by Bank of Industry, NEXIM Bank, Bank of Agriculture and CBN intervention Facilities;
- (e) the ECC can be transferred at one instance to a third party.

Negotiable Duty Credit Certificate (NDCC)

In thousands of naira

	Group	
	2026	2025
NDCC with NEPC (awaiting conversion to ECC)	297,492	297,492
ECC with NEPC	2,608	2,608
NDCC with NEPC (awaiting conversion to ECC) held on behalf of related entities	352,508	352,508
	652,608	652,608
Export Rebate filed with NEPC	4,138,296	2,172,665
Total - NDCC and Export rebates receivable	4,790,904	2,825,273

b Liabilities

Pending litigation and claims

The Group is engaged in lawsuits that have arisen in the normal course of business. The contingent liabilities in respect of these pending litigations amounted to N1.4 billion as at 31 May 2026 (2025: N1.8 billion). In the opinion of the Directors, and based on independent legal advice, the Company is not expected to suffer any material loss arising from these claims. Thus no provision has been made in these financial statements.

Financial commitments

In the normal course of business, the Group and the Company uses letters of credit to import materials. The total value of unconfirmed letters of credit as at 31 May 2026 was N 38.4 billion for group and N10 billion for the Company (2025: N 19.6 billion for the Group and N345 million for the Company).

Notes to the consolidated and separate financial statements

32 Contingencies (Continued)

Capital commitments

Below represents capital commitments for the acquisition of property, plant and equipment not provided for in the financial statements:

<i>In thousands of naira</i>	Group		Company	
	2026	2025	2026	2025
Authorised and contracted	74,599	962,311	74,599	666,963
Authorised but not contracted	390,756	15,233	-	15,233
Total	465,355	977,544	74,599	682,196

33 Technical knowhow, technical service, trademark and global shared services

Technical knowhow, technical service, trademark and IT shared service agreements basis and amounts are presented below. The amount recognised in these financial statements is inclusive of VAT which is payable to the government. All agreements are subject to the approval of the National Office for Technology Acquisition and Promotion (NOTAP). These fees and recharges are due to PZ Cussons (International) Limited.

NOTAP Approved Items	Bases	Rates	2026	2025
Technical Knowhow	Net Sales of Company Sales	3%	4,565,559	3,760,839
Technical service (Research and Development)	Net Sales of Company Sales	1%	1,521,853	1,253,613
Trademark	Net Sales of Company Sales	0.5%	760,927	626,806
Sub total			6,848,339	5,641,258
Global shared services support (IT recharge)	Recharge		7,265,259	8,661,480
Total			14,113,598	14,302,738

* Net Sales is Gross sales price less (i) value added taxes or sales tax payable; (ii) bonafide packing, transport and insurance cost; and (iii) trade discounts and re-imbursments actually granted to customer in respect of such invoice.

34 Related party transactions

34.1 Group and company

The Group and Company are controlled by PZ Cussons (Holdings) Limited, incorporated in the UK, which owns 73.27% (2025: 73.27%) of the Group and company's shares. The remaining 26.73% (2025: 26.73%) of the shares are widely held. The Group's parent is PZ Cussons (Holdings) Limited (incorporated in the UK) and its global ultimate parent is PZ Cussons Plc.

All intercompany trading balances are settled in cash. There was no provision for doubtful related party receivables at 31 May 2026 (31 May 2025: Nil) and no charges to the income statement in respect of doubtful related party receivables for the years then ended. The transactions with related parties are carried out at arm's length.

The nature of relationship between related parties within the group are set out below:

Name	Nature of relationship
- PZ Cussons (Holdings) Limited	Parent company
- HPZ Limited	Subsidiary
- PZ Cussons (International) Limited	Fellow subsidiary
- Seven Scent Limited	Fellow subsidiary
- PZ Cussons Singapore Private Limited	Fellow subsidiary
- PT PZ Cussons Indonesia	Fellow subsidiary
- PZ Cussons (Thailand) Limited	Fellow subsidiary
- PZ Cussons India PVT Limited	Fellow subsidiary
- PZ Cussons Ghana Limited	Fellow subsidiary
- PZ Cussons (East Africa) Limited	Fellow subsidiary
- Nutricima Limited	Fellow subsidiary
- Harefield Industrial Nigeria Limited	Fellow subsidiary
- PZ Foundation	CSR entity

Notes to the consolidated and separate financial statements

34 Related party transactions (Continued)

34.2 Transactions with related parties

Purchase of goods and services

In thousands of naira

Purchases of goods:

- PZ Cussons Singapore Private Limited
- PT PZ Cussons Indonesia
- PZ Cussons (East Africa) Limited
- PZ Wilmar Limited***

Group		Company	
2026	2025	2026	2025
96,393,321	84,690,708	29,434,936	27,130,948
200	13,476	200	13,476
-	27,728	-	27,728
-	7,278,200	-	7,278,200
96,393,521	92,010,112	29,435,136	34,450,352

Purchases of services:

- Technical Knowhow fees - PZ Cussons (International) Limited
- R& D Support - PZ Cussons (International) Limited
- Trade Mark - PZ Cussons (International) Limited

4,247,032	3,498,454	4,247,032	3,498,454
1,415,677	1,166,151	1,415,677	1,166,151
707,839	583,076	707,839	583,076
6,370,548	5,247,681	6,370,548	5,247,681

Recharge of services from PZ Cussons (Holdings) Limited (parent company)

- Global shared services support

Total

7,265,259	8,661,480	7,265,259	8,661,480
110,029,328	105,919,273	43,070,943	48,359,513

In thousands of naira

Sales of goods

- PZ Cussons Ghana Limited

Group		Company	
2026	2025	2026	2025
9,301,757	8,273,879	9,301,757	8,273,879
9,301,757	8,273,879	9,301,757	8,273,879

Rent and recharge of services - PZ Wilmar Ltd

-	2,392,063	-	2,392,063
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Recharge of service cost recovery- Distribution fees:

- HPZ Limited (Subsidiary)
- Harefield Industrial Nigeria Limited

Sub -total A

-	-	9,041,052	7,173,680
630,821	677,674	630,821	677,674
630,821	677,674	9,671,873	7,851,354

Recharge of local shared services by PZ Cussons Nigeria Plc

- HPZ Limited (Subsidiary)
- Harefield Industrial Nigeria Limited

Sub -total B

-	-	7,362,672	7,171,548
513,715	677,473	513,715	677,473
513,715	677,473	7,876,387	7,849,021

Net recharge/recovery of service cost (A-B)*

117,106	201	1,795,486	2,333
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Total

9,418,863	10,666,143	11,097,243	10,668,275
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* Net recharge/recovery of service is included in cost of sales.

Key management personnel compensation

Key management have been determined as Directors (Executive and Non-Executive) and the Chairman. Details of their compensation is as shown in Note 31. No loans were advanced to any key personnel management during the year.

Notes to the consolidated and separate financial statements

In thousands of naira

34 Related party transactions (Continued)

Year-end balances arising from sales/purchases of goods and services.

	Group		Company	
	2026	2025	2026	2025
Due to:				
- Joint ventures and subsidiaries of PZ Cussons (Holdings) Limited UK **				
- PZ Cussons (International) Limited	27,838,720	59,849,316	27,383,432	59,668,112
- PZ Cussons Singapore Private Limited	15,915,730	20,204,901	2,869,196	4,936,829
- PT PZ Cussons Indonesia	-	5,312	-	5,312
- PZ Cussons (East Africa) Limited	-	28,376	-	28,376
- PZ Cussons India PVT Limited	-	3,387	-	3,385
- Nutricima Limited	23,050	171,384	-	-
Sub Total	43,777,500	80,262,676	30,252,628	64,642,014
Total	43,777,500	80,262,676	30,252,628	64,642,014
Due from:				
- Subsidiaries of PZ Cussons Nigeria Plc				
<u>Joint ventures of PZ Cussons</u>				
HPZ limited	-	-	6,091,243	11,213,054
	-	-	6,091,243	11,213,054
Joint ventures and subsidiaries of PZ Cussons (Holdings) Limited, UK **				
- PZ Cussons Ghana Limited	2,058,631	416,225	2,058,631	416,225
- Nutricima Limited	4,046	4,046	4,046	4,046
- Harefield Industrial Nigeria Limited	213,023	182,071	117,172	165,169
- PZ Wilmar Limited ***	-	900,451	-	900,406
Sub Total	2,275,700	1,502,793	2,179,849	1,485,846
Total	2,275,700	1,502,793	8,271,092	12,698,900

Balances arising from sales/purchases of goods and services are revolving balances settled within 30 days after the end of the month.

**The entities categorized as Joint Ventures and subsidiaries of PZ Cussons (Holdings) Limited, United Kingdom are:

Local entities: Nutricima Limited, Harefield Industrial Nigeria Limited, PZ Coolworld Limited, PZ Wilmar Limited and PZ Wilmar Food Limited.

Foreign entities: PZ Cussons International Limited, PZ Cussons Singapore Private Limited, PZ Cussons (Thailand) Limited, PZ Cussons Ghana Limited, PZ Cussons East Africa Limited, PZ Cussons Mesa, PZ Cussons Indonesia , PZ Cussons India Private Limited and Seven Scent Limited.

*** During the year, PZ Wilmar Limited cease to be a related party to the company following the divestment of PZ Cussons Plc UK from the PZ Wilmar business.

Notes to the consolidated and separate financial statements

34 Related party transactions (Continued)

34.2 Transactions with related parties

PZ Cussons Foundation

PZ Cussons Foundation was established in 2007 to improve the quality of life of people living in Nigeria especially in areas around our operations across the country by building roads, schools, health centres, sport facilities, providing portable water, etc. As a corporate social responsibility outfit, its affairs is managed by a Board of Trustees who are responsible for the delivery of the Foundation's objectives. During the year, donation from PZ Cussons Nigeria Plc to the Foundation was Nil (2025: Nil). However, the Foundation is at liberty to receive donations from other sources. The Group has not consolidated the records of the Foundation as at 31 May 2026 which shows a net asset of N292 million because it is immaterial (2025: N290 million). Disclosure made in this section is on voluntary basis in the interest of transparency.

35 Interest on advances from related entities and short-term borrowings from banks

During the year, the Group and Company obtained and gave short-term advances at average rate of 12% p.a. from and to related parties. The advances have been fully liquidated at 2026 and 2025 year ends and they are not included in the closing balances of the amount due to and the amount due from related parties by the company and the group. These advances were drawn down or disbursed in various amounts and did not run throughout the twelve months duration of the financial years ended 31 May 2026 and 31 May 2025.

The Group and company earned no income (2025: Nil) and N 375.2 million (2025: N572.4 million) respectively on short-term advances to related parties. All inter-company interest have been eliminated on consolidation. The un-eliminated interest income and interest expense on consolidation relates to interest earned and interest paid on transactions with other related parties (i.e. Nutricima Limited, Harefield Industrial Nigeria Limited) outside of the PZ Cussons Nigeria Plc Group.

<i>In thousands of naira</i>	Group		Company	
	2026	2025	2026	2025
Interest paid to related companies				
Harefield Industrial Nigeria limited	(680,402)	(652,592)	-	(723)
Nutricima Limited	(285,009)	(190,426)	-	-
	<u>(965,411)</u>	<u>(843,018)</u>	<u>-</u>	<u>(723)</u>
Interest paid to banks and third parties	<u>(25)</u>	<u>(2,789,743)</u>	<u>-</u>	<u>(45,771)</u>
Total interest Cost	<u>(965,436)</u>	<u>(3,632,761)</u>	<u>-</u>	<u>(46,494)</u>
Interest earned from related companies;				
HPZ Limited	-	-	375,209	572,452
	<u>-</u>	<u>-</u>	<u>375,209</u>	<u>572,452</u>
Interest earned from banks and third parties:				
Interest earned on placement of unclaimed dividend	54,118	235,361	54,118	235,361
Interest earned from banks & third parties	1,170,326	1,135,422	1,015,905	963,484
Total Interest income	<u>1,224,444</u>	<u>1,370,783</u>	<u>1,445,232</u>	<u>1,771,297</u>
Net finance Income/(Expense)	<u>259,008</u>	<u>(2,261,978)</u>	<u>1,445,232</u>	<u>1,724,803</u>

36 Dividends

Amounts recognised as dividends to ordinary shareholders in the year:

Dividend proposed in respect of the year ended 31 May 2026 was ₦2.50 (2025: Nil). No provision for the dividend is recognised in the financial statements for the year then ended because, dividend is recognised as a liability in the period it is approved by shareholders. Accordingly, there is no provision for the dividend in these financial statements.



37 Securities trading policy

In compliance with Rule 17.15 Disclosure of Dealings in Issuers' Shares, Rulebook of The Exchange 2015 (Issuers' Rule), PZ Cussons Nigeria Plc maintains a Security Trading Policy (Policy) which guides Directors, Audit Committee members, employees and all individuals categorized as insiders in relation to their dealings in the Company's shares. The Policy undergoes periodic review by the Board and is updated accordingly. The Company has made specific inquiries of all its Directors and other insiders and is not aware of any infringement of the Policy during the period.

38 Events after reporting date

There are no significant subsequent events, which could have had a material effect on the Financial Statements of the Company as at 31 May 2026 that have not been adequately provided for or disclosed in the financial statements.

OTHER NATIONAL DISCLOSURES

Statement of value added
For the year ended 31 May 2026

	Group				Company			
<i>In thousands of naira</i>	2026	%	2025	%	2026	%	2025	%
Revenue	260,456,428		212,634,336		151,550,256		126,086,639	
Other income	39,919,900		1,799,393		-		-	
Interest income	1,224,444		1,370,783		1,445,232		1,771,297	
Brought-in-materials and services:								
- Imported	(146,422,570)		(129,899,240)		(60,161,660)		(81,659,718)	
- Local	(60,103,014)		(53,320,577)		(18,998,419)		(25,787,279)	
Value added	95,075,188	100	32,584,695	100	73,835,409	100	20,410,939	100
Applied as follows:								
To pay employees:								
- Salaries, wages and other benefits	14,219,717	15%	10,356,239	32%	10,644,881	14%	7,859,559	39%
To pay government:								
- Income and education taxes	11,263,653	12%	4,589,230	14%	7,790,597	11%	4,099,265	20%
To pay providers of capital:								
- Interest cost	965,436	1%	3,632,761	11%	-	0%	46,494	0%
Retained for replacement of assets and business growth:								
- Deferred taxation	20,884,514	22%	2,004,606	6%	15,969,009	22%	97,049	0%
- Depreciation	2,454,246	3%	1,733,057	5%	2,174,032	3%	1,538,697	8%
- Depreciation - Right-of-use-asset	11,516	0%	96,121	0%	1,321	0%	65,097	0%
- Amortization (Intangible assets)	105,962	0%	105,962	0%	105,962	0%	105,962	1%
- Non controlling interest	2,005,936	2%	859,089	3%	-	0%	-	-
- Profit/(loss) attributable to equity Profit holders of equity	43,164,208	45%	9,207,630	28%	37,149,607	50%	6,598,816	32%
Value added	95,075,188	100%	32,584,695	100%	73,835,409	100%	20,410,939	100%

Value added represents the additional wealth which the group has been able to create by its own and its employees' efforts. This statement shows the allocation of that wealth to employees, government, providers of capital and the amount retained for the future creation of more wealth.

**Five Year Financial Summary
Group**

In thousands of naira

Statement of financial position:

	2026	2025	2024 Restated	2023	2022
Non-current assets	30,293,159	49,484,490	49,614,308	18,275,431	19,088,568
Current assets	128,535,331	118,404,447	107,445,387	148,090,455	89,793,126
Assets held for sale	740,544	1,013,414	-	-	590,990
Total assets	159,569,034	168,902,351	157,059,695	166,365,886	109,472,684
Equity attributable to equity holders of parent	66,361,816	(15,615,580)	(24,922,169)	43,329,747	34,165,079
Non-controlling interest	280,359	(1,725,577)	(2,584,666)	5,030,311	3,574,752
Non-current liabilities	569,770	879,867	905,977	23,322,945	5,654,331
Current liabilities	92,357,089	185,363,641	183,660,553	94,682,883	66,078,522
Total equity and liabilities	159,569,034	168,902,351	157,059,695	166,365,886	109,472,684
<i>In thousands of naira</i>	2026	2025	2024 Restated	2023	2022
Turnover	260,456,428	212,634,336	152,249,309	113,964,309	99,503,320
Profit/(loss) before taxation	77,318,311	16,660,555	(122,488,615)	20,463,740	10,008,025
Profit/(loss) after taxation	45,170,144	10,066,719	(90,317,282)	14,348,345	6,699,325
Per 50K Share					
Earnings/(loss) per share (Naira)	10.87	2.32	(20.83)	3.28	1.50
Net assets/(liabilities) per share (Naira)	16.78	(4.37)	(6.93)	10.91	8.57

Basic earnings per share (EPS) is calculated by dividing the profit attributable to equity holders of the parent company by the weighted average number of ordinary shares outstanding at the end of the reporting period.

Net assets per share is based on net assets and the number of issued and fully paid ordinary shares at the end of each financial

**Five Year Financial Summary
Company**

In thousands of naira

Statement of financial position:

	2026	2025	2024 Restated	2023	2022
Non-current assets	22,381,881	37,155,830	35,956,705	20,135,803	17,930,314
Current assets	104,673,936	107,618,381	82,155,812	90,690,197	61,354,231
Assets held for sale	740,544	1,013,414	-	-	590,990
Total assets	127,796,361	145,787,625	118,112,517	110,826,000	79,875,535

Equity attributable to equity holders of parent	65,913,871	(10,048,924)	(16,746,699)	28,672,468	23,872,147
Non-current liabilities	7,591	384,322	638,854	22,975,866	5,392,049
Current liabilities	61,874,899	155,452,227	134,220,362	59,177,666	50,611,339
Total equity and liabilities	127,796,361	145,787,625	118,112,517	110,826,000	79,875,535

In thousands of naira

	2025	2025	2024 Restated	2023	2022
Turnover	151,550,256	126,086,639	90,810,486	67,413,111	58,264,660
Profit/(loss) before taxation	60,909,213	10,795,130	(79,814,031)	11,265,827	4,875,166
Profit/(loss) after taxation	37,149,607	6,598,816	(59,869,556)	8,528,436	3,783,652

Per 50K Share

Earnings/(loss) per share (Naira)	9.36	1.66	(15.08)	2.15	0.95
Net assets/(liabilities) per share (Naira)	16.60	(2.53)	(4.22)	7.22	6.01

Basic earnings per share (EPS) is calculated by dividing the profit attributable to equity holders of the parent company by the weighted average number of ordinary shares outstanding at the end of the reporting period.

Net assets per share is based on net assets and the number of issued and fully paid ordinary shares at the end of each financial year.